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LYNWOOD UNIFIED SCHOOL DISTRICT

AUDIT REPORT

JUNE 30, 2025

LYNWOOD UNIFIED SCHOOL DISTRICT
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INDEPENDENT AUDITORS' REPORT

Governing Board
Lynwood Unified School District
Lynwood, California

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, fiduciary activities, each major fund, and the aggregate remaining fund information of the Lynwood Unified School District (the "District"), as of and for the year ended June 30, 2025, and the related notes to financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, fiduciary activities, each major fund, and the aggregate remaining fund information of the District as of June 30, 2025, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Change in Accounting Principle

As discussed in Note 1 to the financial statements, the District adopted GASB Statement No. 101, *Compensated Absences* which required a restatement of net position as of July 1, 2024. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis and the Required Supplementary Information section as listed in the table of contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Supplementary Information as listed in the table of contents, which includes the Schedule of Expenditures of Federal Awards as required by Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the accompanying supplementary information, is fairly stated in all material respects in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 29, 2025 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.



San Diego, California
December 29, 2025

**LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025**

This section of Lynwood Unified School District's (the "District") annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year ended June 30, 2025, with comparative information for the fiscal year ended June 30, 2024. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District and its component units using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The Government-Wide Financial Statements present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. They present governmental activities separately. These statements include all assets of the District (including capital assets, right-to-use assets, and right-to-use subscription IT assets), deferred outflows of resources, as well as all liabilities (including long-term liabilities), and deferred inflows of resources. Additionally, certain eliminations have occurred as prescribed by the statement in regard to interfund activity, payables, and receivables.

The Fund Financial Statements include statements for each of the three categories of activities: governmental, proprietary, and fiduciary.

- The *Governmental Funds* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.
- The *Proprietary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.
- The *Fiduciary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The primary unit of the government is the Lynwood Unified School District.

**LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025**

REPORTING THE DISTRICT'S AS A WHOLE

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and the Statement of Activities report information about the District as a whole and about its activities. These statements include all assets, deferred outflows of resources, liabilities, and deferred inflows of resources of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and deferred outflows of resources, liabilities and deferred inflows of resources, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's operating results. Since the Governing Board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

The Statement of Net Position and the Statement of Activities, we present the District activities as follows:

Governmental Activities – The District's services are reported in this category. This includes the education of kindergarten through grade twelve students, adult education students, the operation of child development activities, and the ongoing effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State and local grants, as well as general obligation bonds, finance these activities.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

Governmental Funds - The District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following the governmental fund financial statements.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Revenues, Expenses, and Changes in Net Position. We use internal service funds to report activities that provide supplies and services for the District's other programs and activities, such as the District's Self-Insurance Fund. The internal service fund is reported with governmental activities in the government-wide financial statements.

THE DISTRICT AS A TRUSTEE

Reporting the District's Fiduciary Responsibilities

The District is the trustee, or fiduciary, for funds held on behalf of others, like our funds for the Scholarship Trust. The District's fiduciary activities are reported in the Fiduciary Statement of Net Position and the Fiduciary Statement of Changes in Net Position. We exclude these activities from the District's other financial statements because the District cannot use these assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

**LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025**

FINANCIAL ANALYSIS OF THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$181,655,800 for the fiscal year ended June 30, 2025. Of this amount, \$(118,676,267) was unrestricted net position. Restricted net position are reported separately to show legal constraints from debt covenants and enabling legislation that limit the governing board's ability to use that net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position and changes in net position of the District's governmental activities.

	Governmental Activities		
	2025	2024	Net Change
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES			
Current assets	\$ 402,148,202	\$ 287,124,270	\$ 115,023,932
Non-current assets	185,295,455	143,605,077	41,690,378
Deferred outflows of resources	54,120,046	53,048,250	1,071,796
Total Assets and Deferred Outflows of Resources	641,563,703	483,777,597	157,786,106
LIABILITIES AND DEFERRED INFLOWS OF RESOURCES			
Current liabilities	64,117,112	65,064,716	(947,604)
Non-current liabilities	361,778,253	372,544,466	(10,766,213)
Deferred inflows of resources	34,012,538	33,317,803	694,735
Total Liabilities and Deferred Inflows of Resources	459,907,903	470,926,985	(11,019,082)
NET POSITION			
Net investment in capital assets	60,398,292	9,137,810	51,260,482
Restricted	239,933,775	144,882,887	95,050,888
Unrestricted	(118,676,267)	(141,170,085)	22,493,818
Total Net Position	\$ 181,655,800	\$ 12,850,612	\$ 168,805,188

The \$(118,676,267) in unrestricted net position of governmental activities represents the accumulated results of all past years' operations. The June 30, 2025 unrestricted net position increased by \$22.49 million as compared to June 30, 2024.

LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025

FINANCIAL ANALYSIS OF THE DISTRICT AS A WHOLE, continued

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities on page 15. Net position increased by \$181.52 million due to operating activities, excluding effect of prior period adjustments.

	Governmental Activities		
	2025	2024	Net Change
REVENUES			
Program revenues			
Charges for services	\$ 269,860	\$ 273,674	\$ (3,814)
Operating grants and contributions	216,375,198	102,841,847	113,533,351
Capital grants and contributions	-	600,000	(600,000)
General revenues			
Property taxes	29,925,003	29,218,175	706,828
Federal and state aid not restricted for specific purposes	161,545,005	172,042,425	(10,497,420)
Other	14,045,121	16,134,707	(2,089,586)
Total Revenues	422,160,187	321,110,828	101,049,359
EXPENSES			
Instruction	140,460,446	132,009,181	8,451,265
Instruction-related services	30,639,561	28,560,028	2,079,533
Pupil services	33,008,781	32,102,182	906,599
General administration	11,970,934	21,789,045	(9,818,111)
Plant services	9,459,446	33,577,850	(24,118,404)
Ancillary services	2,608,396	2,501,185	107,211
Community services	1,603,838	1,860,203	(256,365)
Enterprise services	(2,417,670)	(2,764,912)	347,242
Interest on long-term debt	5,461,119	5,982,006	(520,887)
Other outgo	76,071	36,024	40,047
Depreciation (unallocated)	6,479,250	5,779,373	699,877
Amortization (unallocated)	1,285,369	842,696	442,673
Total Expenses	240,635,541	262,274,861	(21,639,320)
CHANGE IN NET POSITION	181,524,646	58,835,967	122,688,679
NET POSITION - BEGINNING	12,850,612	(45,985,355)	58,835,967
PRIOR PERIOD ADJUSTMENTS (NOTE 16)	(12,719,458)	-	(12,719,458)
NET POSITION - ENDING	\$ 181,655,800	\$ 12,850,612	\$ 168,805,188

**LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025**

FINANCIAL ANALYSIS OF THE DISTRICT AS A WHOLE, continued

Governmental Activities

As reported in the Statement of Activities on page 15, the cost of all of our governmental activities this year was \$240,635,541. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$29,925,003 because the cost was paid by those who benefited from the programs of \$269,860 or by other governments and organizations who subsidized certain programs with grants and contributions of \$216,375,198. We paid for the remaining "public benefit" portion of our governmental activities with \$175,590,126 in Federal and State funds, and with other revenues, like interest and investment earnings, and general entitlements.

Schedule of Net Costs

We have presented the cost and net cost (total cost less revenues generated by the activities) of each of the District's functions. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

	Governmental Activities	
	Net Cost of Services	
	2025	2024
Instruction	\$ 54,878,706	\$ 72,332,818
Instruction-related services	(38,621,399)	15,804,956
Pupil services	17,880,647	12,288,046
General administration	(3,133,492)	10,823,893
Plant services	(21,028,359)	34,214,173
Ancillary services	1,538,359	1,531,542
Community services	1,594,115	1,758,334
Enterprise services	(2,419,903)	(2,834,521)
Interest on long-term debt	5,461,119	5,982,006
Other outgo	76,071	36,024
Depreciation (unallocated)	6,479,250	5,779,373
Amortization (unallocated)	1,285,369	842,696
Total	\$ 23,990,483	\$ 158,559,340

**LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025**

FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$334,547,513, which is an increase of \$117,095,036 from last year.

	July 01, 2024*	Revenues and Other Financing Sources	Expenditures and Other Financing Uses	June 30, 2025
GOVERNMENTAL FUNDS				
General Fund*	\$ 159,788,492	\$ 262,606,463	\$ 257,307,591	\$ 165,087,364
Student Activity Special Revenue Fund	617,832	976,370	971,741	622,461
Adult Education Fund	373,101	3,321,082	3,286,084	408,099
Child Development Fund	1,418,083	3,293,055	2,824,943	1,886,195
Cafeteria Special Revenue Fund	5,987,106	9,379,700	8,059,958	7,306,848
Deferred Maintenance Fund	3	-	-	3
Building Fund	37,433,011	2,328,328	6,086,313	33,675,026
Capital Facilities Fund	2,668,447	391,938	-	3,060,385
County School Facilities Fund	1,492,116	78,470	-	1,570,586
Special Reserve for Capital Outlay Projects Fund	(33,893)	131,505,112	17,571,520	113,899,699
Bond Interest and Redemption Fund	7,701,758	7,572,979	8,250,649	7,024,088
Tax Override Fund	6,421	338	-	6,759
Total Governmental Funds	<u>\$ 217,452,477</u>	<u>\$ 421,453,835</u>	<u>\$ 304,358,799</u>	<u>\$ 334,547,513</u>

*2024 balances as restated, see Note 16.

General Fund Budgetary Highlights

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final revision to the budget was completed July 2025. A schedule showing the District's original and final budget figures compared with amounts actually paid and received is provided in our annual report on page 72.

LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025

CAPITAL ASSET, RIGHT-TO-USE ASSETS AND DEBT ADMINISTRATION

Capital Assets and Right-to-Use Assets

At June 30, 2025, the District had \$181,524,012 in a broad range of capital assets and right-to-use assets (net of depreciation and amortization), including land, construction in progress, land improvements, buildings and improvements, furniture and equipment, and right-to-use assets. This amount represents a net increase (including additions, deductions, and depreciation and amortization expenses) of \$41,813,194, or 29.93%, from last year.

	Governmental Activities		
	2025	2024	Net Change
CAPITAL ASSETS AND RIGHT-TO-USE ASSETS			
Land	\$ 32,298,855	\$ 32,298,855	\$ -
Construction in progress	25,225,520	4,507,963	20,717,557
Land improvements	18,727,414	18,247,315	480,099
Buildings and improvements	177,548,532	156,191,957	21,356,575
Furniture and equipment	23,843,355	20,476,768	3,366,587
Less: Accumulated depreciation	(97,947,274)	(93,297,035)	(4,650,239)
Right-to-use assets	2,676,189	3,675,392	(999,203)
Less: Accumulated amortization	(848,579)	(2,390,397)	1,541,818
Total Capital Assets and Right-to-Use Assets, Net	\$ 181,524,012	\$ 139,710,818	\$ 41,813,194

We present more detailed information about our capital assets and right-to-use assets in Note 4 to financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025

CAPITAL ASSET, RIGHT-TO-USE ASSETS AND DEBT ADMINISTRATION, continued

Long-Term Liabilities

At June 30, 2025, the District had \$375,246,642 in long-term liabilities outstanding versus \$394,893,235 last year, a decrease of \$19,646,593 or 4.98%. Those long-term liabilities consisted of:

	Governmental Activities		
	2025	2024*	Net Change
LONG-TERM LIABILITIES			
General obligation bonds (GOBs)	\$ 142,353,946	\$ 145,398,031	\$ (3,044,085)
Unamortized debt premiums - GOBs	6,727,533	7,075,846	(348,313)
Unamortized debt discounts - GOBs	(12,645)	(13,548)	903
Certificates of participation (COPs)	13,865,000	14,625,000	(760,000)
Unamortized debt premiums - COPs	981,839	1,057,365	(75,526)
Lease liabilities	1,012,553	1,027,962	(15,409)
Subscription-based IT arrangements (SBITAs)	635,595	77,842	557,753
Early retirement liability*	1,704,588	3,409,176	(1,704,588)
Compensated absences*	14,225,885	13,045,865	1,180,020
Claims liability	8,655,945	8,388,262	267,683
Net pension liability	157,141,820	165,956,604	(8,814,784)
Net OPEB liability	27,954,583	34,844,830	(6,890,247)
Total Long-Term Liabilities	\$ 375,246,642	\$ 394,893,235	\$ (19,646,593)

*2024 balances as restated, see Note 16.

We present more detailed information regarding our long-term liabilities in Note 9 to financial statements.

**LYNWOOD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2025**

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

The State has enacted the Local Control Funding Formula (LCFF) to replace revenue limits and most categorical programs, commencing in 2013-14. The LCFF has now been fully implemented, so going forward revenue generated from the LCFF will be determined by the change in Average Daily Attendance (ADA) and the statutory cost of living adjustment (COLA.)

The key assumptions in our revenue forecast are:

1. . Per law, the school districts are funded based on the greater of current year, prior year, or the average of the three prior years' ADA. Therefore, LCFF funding is budgeted on the average of the three prior years' average P-2 ADA of 10,791.
2. The LCFF supplemental and concentration grants must be spent to increase or improve services for following student populations: low-income, English learner, and foster youth. The amount of supplemental and concentration grants is based on the District's percentage of prior year CALPADS unduplicated count of these students, which is 95.64% for the District.
3. LCFF Base Entitlement per ADA is estimated at an average of \$10,706.
4. The declining enrollment trend continues in the District and multi-year projections included in the budget assume a declining ADA of 4% in the subsequent two fiscal years.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact Gretchen Janson, Ed.D., Associate Superintendent of Business Services, at Lynwood Unified School District, 11321 Bullis Rd., Lynwood, California 90262, or e-mail at gjanson@mylUSD.org.

FINANCIAL SECTION

LYNWOOD UNIFIED SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2025

	Governmental Activities
ASSETS	
Current Assets	
Cash and equivalents	\$ 376,754,750
Accounts receivable	21,641,350
Inventory	379,436
Prepaid expenses	2,095,472
Other current assets	1,154,379
Lease receivable, current portion	122,815
Total Current Assets	<u>402,148,202</u>
Non-Current Assets	
Lease receivable, non-current portion	3,771,443
Capital assets, net	179,696,402
Right-to-use assets, net	1,827,610
Total Non-Current Assets	<u>185,295,455</u>
TOTAL ASSETS	<u>587,443,657</u>
DEFERRED OUTFLOWS OF RESOURCES	
Deferred loss on debt refunding	1,897,646
Deferred outflows related to OPEB	1,602,755
Deferred outflows related to pensions	50,619,645
TOTAL DEFERRED OUTFLOWS OF RESOURCES	<u>54,120,046</u>
TOTAL ASSETS AND DEFERRED OUTFLOWS OR RESOURCES	<u>\$ 641,563,703</u>
LIABILITIES	
Current Liabilities	
Accrued liabilities	\$ 44,320,259
Interest payable	1,844,946
Unearned revenue	4,483,518
Long-term debt, current portion	13,468,389
Total Current Liabilities	<u>64,117,112</u>
Non-Current Liabilities	
Net pension liability	157,141,820
Net OPEB liability	27,954,583
Long-term debt, non-current portion	176,681,850
Total Non-Current Liabilities	<u>361,778,253</u>
TOTAL LIABILITIES	<u>425,895,365</u>
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows related to lease receivable	3,754,348
Deferred inflows related to OPEB	10,452,556
Deferred inflows related to pensions	19,805,634
TOTAL DEFERRED INFLOWS OF RESOURCES	<u>34,012,538</u>
NET POSITION	
Net investment in capital assets	60,398,292
Restricted	
Educational programs	57,478,080
Debt service	7,030,847
Capital projects	155,331,910
Child nutrition	8,175,919
Student activity funds	484,837
Other restrictions	11,432,182
Total Restricted	<u>239,933,775</u>
Unrestricted	<u>(118,676,267)</u>
TOTAL NET POSITION	<u>181,655,800</u>
TOTAL LIABILITIES, DEFERRED INFLOWS OR RESOURCES, AND NET POSITION	<u>\$ 641,563,703</u>

The notes to financial statements are an integral part of this statement.

LYNWOOD UNIFIED SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2025

Function/Programs	Expenses	Program Revenues		Net (Expense)/ Revenues and Changes in Net Position
		Charges for Services	Operating Grants and Contributions	Governmental Activities
Governmental Activities				
Instruction	\$ 140,460,446	\$ 81,180	\$ 85,500,560	\$ (54,878,706)
Instruction-related services				
Instructional supervision and administration	14,420,741	3,499	50,297,319	35,880,077
Instructional library, media, and technology	1,469,693	-	54,382	(1,415,311)
School site administration	14,749,127	1,756	18,904,004	4,156,633
Pupil services				
Home-to-school transportation	3,279,728	-	13,824	(3,265,904)
Food services	8,276,585	7,006	8,811,727	542,148
All other pupil services	21,452,468	5,457	6,290,120	(15,156,891)
General administration				
Centralized data processing	6,982,553	-	1,281,205	(5,701,348)
All other general administration	4,988,381	10,308	13,812,913	8,834,840
Plant services	9,459,446	160,654	30,327,151	21,028,359
Ancillary services	2,608,396	-	1,070,037	(1,538,359)
Community services	1,603,838	-	9,723	(1,594,115)
Enterprise services	(2,417,670)	-	2,233	2,419,903
Interest on long-term debt	5,461,119	-	-	(5,461,119)
Other outgo	76,071	-	-	(76,071)
Depreciation (unallocated)	6,479,250	-	-	(6,479,250)
Amortization (unallocated)	1,285,369	-	-	(1,285,369)
Total	\$ 240,635,541	\$ 269,860	\$ 216,375,198	(23,990,483)
General Revenues				
Taxes and subventions				
Property taxes, levied for general purposes				21,845,122
Property taxes, levied for debt service				7,221,772
Property taxes, levied for other specific purposes				858,109
Federal and state aid not restricted for specific purposes				161,545,005
Interest and investment earnings				11,860,898
Miscellaneous				2,184,223
Total General Revenues				205,515,129
CHANGE IN NET POSITION				181,524,646
NET POSITION - BEGINNING				12,850,612
PRIOR PERIOD ADJUSTMENTS (NOTE 16)				(12,719,458)
NET POSITION - ENDING				\$ 181,655,800

LYNWOOD UNIFIED SCHOOL DISTRICT
GOVERNMENTAL FUNDS
BALANCE SHEET
JUNE 30, 2025

	General Fund	Child Development Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
ASSETS					
Cash and equivalents	\$ 180,969,014	\$ 9,487,065	\$ 33,598,219	\$ 133,827,121	\$ 357,881,419
Accounts receivable	16,981,870	98,563	497,026	3,903,931	21,481,390
Due from other funds	-	-	207,783	-	207,783
Inventory	188,036	-	-	191,400	379,436
Prepaid expenses	2,033,476	-	34,002	27,994	2,095,472
Other current assets	1,154,325	-	-	54	1,154,379
Lease receivable	3,894,258	-	-	-	3,894,258
Total Assets	\$ 205,220,979	\$ 9,585,628	\$ 34,337,030	\$ 137,950,500	\$ 387,094,137
LIABILITIES					
Accrued liabilities	\$ 35,144,891	\$ 4,242,508	\$ 662,004	\$ 4,051,572	\$ 44,100,975
Due to other funds	207,783	-	-	-	207,783
Unearned revenue	1,026,593	3,456,925	-	-	4,483,518
Total Liabilities	36,379,267	7,699,433	662,004	4,051,572	48,792,276
DEFERRED INFLOWS OF RESOURCES					
Deferred inflows related to lease receivable	3,754,348	-	-	-	3,754,348
Total Deferred Inflows of Resources	3,754,348	-	-	-	3,754,348
FUND BALANCES					
Nonspendable	2,272,412	-	34,002	220,844	2,527,258
Restricted	73,686,595	1,294,254	33,641,024	131,311,902	239,933,775
Committed	26,784,104	-	-	-	26,784,104
Assigned	26,052,472	591,941	-	2,366,182	29,010,595
Unassigned	36,291,781	-	-	-	36,291,781
Total Fund Balances	165,087,364	1,886,195	33,675,026	133,898,928	334,547,513
Total Liabilities, Deferred Inflows of Resources and Fund Balances	\$ 205,220,979	\$ 9,585,628	\$ 34,337,030	\$ 137,950,500	\$ 387,094,137

LYNWOOD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET
TO THE STATEMENT OF NET POSITION
JUNE 30, 2025

Total Fund Balances - Governmental Funds \$ 334,547,513

Amounts reported for assets, deferred outflows of resources, liabilities, and deferred inflows of resources for governmental activities in the statement of net position are different from amounts reported in governmental funds because:

Capital assets and right-to-use assets:

In governmental funds, only current assets are reported. In the statement of net position, all assets are reported, including capital assets and accumulated depreciation, and right-to-use assets and accumulated amortization:

Capital assets	\$ 277,643,676	
Accumulated depreciation	(97,947,274)	
Right-to-use assets	2,676,189	
Accumulated amortization	<u>(848,579)</u>	181,524,012

Unmatured interest on long-term debt:

In governmental funds, interest on long-term debt is not recognized until the period in which it matures and is paid. In the government-wide statement of activities, it is recognized in the period that it is incurred. The additional liability for unmatrued interest owing at the end of the period was:

(1,844,946)

Long-term liabilities:

In governmental funds, only current liabilities are reported. In the government-wide statement of net position, all liabilities, including long-term liabilities, are reported.

Long-term liabilities relating to governmental activities consist of:

General obligation bonds (GOBs)	\$ 142,353,946	
Unamortized debt premiums - GOBs	6,727,533	
Unamortized debt discounts - GOBs	(12,645)	
Certificates of participation (COPs)	13,865,000	
Unamortized debt premiums - COPs	981,839	
Lease liabilities	1,012,553	
Subscription-based IT arrangements (SBITAs)	635,595	
Early retirement liability	1,704,588	
Compensated absences	14,225,885	
Net pension liability	157,141,820	
Net OPEB liability	<u>27,954,583</u>	(366,590,697)

Deferred gain or loss on debt refunding:

In the government-wide financial statements deferred gain or loss on debt refunding is recognized as a deferred outflow of resources (for a loss) or deferred inflow of resources (for a gain) and subsequently amortized over the life of the debt. Deferred gain or loss on debt refunding recognized as a deferred outflow of resources or deferred inflow of resources on the statement of net position was:

1,897,646

Balance Forward

\$ 149,533,528

LYNWOOD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET
TO THE STATEMENT OF NET POSITION
JUNE 30, 2025

Balance Brought Forward		\$ 149,533,528	
Deferred outflows and inflows of resources relating to pensions:			
In governmental funds, deferred outflows and inflows of resources relating to pensions are not reported because they are applicable to future periods. In government-wide statement of net position, deferred outflows and inflows of resources relating to pensions are reported:			
Deferred outflows related to pensions	\$ 50,619,645		
Deferred inflows related to pensions	<u>(19,805,634)</u>	30,814,011	
Deferred outflows and inflows of resources relating to other postemployment benefits (OPEB):			
In governmental funds, deferred outflows and inflows of resources relating to OPEB are not reported because they are applicable to future periods. In the government-wide statement of net position, deferred outflows and inflows of resources relating to OPEB are reported:			
Deferred outflows related to OPEB	\$ 1,602,755		
Deferred inflows related to OPEB	<u>(10,452,556)</u>	(8,849,801)	
Internal service fund:			
An internal service fund is used by the District's management to charge the costs of the proprietary and liability insurance programs to the individual funds. The assets and liabilities of the internal service fund are included with governmental activities:			
		<u>10,158,062</u>	
Total Net Position - Governmental Activities		<u>\$ 181,655,800</u>	

LYNWOOD UNIFIED SCHOOL DISTRICT
GOVERNMENTAL FUNDS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2025

	General Fund	Child Development Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
REVENUES					
LCFF sources	\$ 180,235,039	\$ -	\$ -	\$ -	\$ 180,235,039
Federal sources	26,629,371	-	-	7,534,427	34,163,798
Other state sources	38,159,498	2,815,987	-	138,092,451	179,067,936
Other local sources	15,430,801	477,068	2,328,328	7,139,249	25,375,446
Total Revenues	260,454,709	3,293,055	2,328,328	152,766,127	418,842,219
EXPENDITURES					
Current					
Instruction	140,740,970	1,866,442	-	2,093,306	144,700,718
Instruction-related services					
Instructional supervision and administration	14,787,669	160,307	-	-	14,947,976
Instructional library, media, and technology	1,478,221	-	-	-	1,478,221
School site administration	14,050,279	342,895	-	890,696	15,283,870
Pupil services					
Home-to-school transportation	3,285,622	-	-	-	3,285,622
Food services	738,867	-	-	7,787,362	8,526,229
All other pupil services	21,866,316	64,307	-	91,051	22,021,674
General administration					
Centralized data processing	7,023,851	-	-	-	7,023,851
All other general administration	11,435,567	209,578	-	255,829	11,900,974
Plant services	32,493,987	121,786	-	227,798	32,843,571
Facilities acquisition and maintenance	2,594,612	59,628	6,086,313	17,571,520	26,312,073
Ancillary services	1,685,222	-	-	971,741	2,656,963
Community services	1,612,328	-	-	-	1,612,328
Transfers to other agencies	76,071	-	-	-	76,071
Debt service					
Principal	2,369,410	-	-	-	2,369,410
Interest and other	608,737	-	-	4,190,649	4,799,386
Redemptions	-	-	-	4,060,000	4,060,000
Total Expenditures	256,847,729	2,824,943	6,086,313	38,139,952	303,898,937
Excess/(Deficiency) of Revenues					
Over Expenditures	3,606,980	468,112	(3,757,985)	114,626,175	114,943,282
OTHER FINANCING SOURCES/(USES)					
Transfers in	-	-	-	459,862	459,862
Other sources	2,151,754	-	-	-	2,151,754
Transfers out	(459,862)	-	-	-	(459,862)
Other Financing Sources/(Uses), Net	1,691,892	-	-	459,862	2,151,754
NET CHANGES IN FUND BALANCES	5,298,872	468,112	(3,757,985)	115,086,037	117,095,036
FUND BALANCES - BEGINNING	160,557,356	1,418,083	37,433,011	18,812,891	218,221,341
PRIOR PERIOD ADJUSTMENTS (Note 16)	(768,864)	-	-	-	(768,864)
FUND BALANCES - BEGINNING, AS RESTATED	159,788,492	1,418,083	37,433,011	18,812,891	217,452,477
FUND BALANCES - ENDING	\$ 165,087,364	\$ 1,886,195	\$ 33,675,026	\$ 133,898,928	\$ 334,547,513

The notes to financial statements are an integral part of this statement.

**LYNWOOD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES,
EXPENDITURES, AND CHANGES IN FUND BALANCES
TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2025**

Net Change in Fund Balances - Governmental Funds \$ 117,095,036

Amounts reported for governmental activities in the statement of activities are different from amounts reported in governmental funds because:

Capital outlay:

In governmental funds, the costs of capital assets, lease assets and subscription-based IT arrangements are reported as expenditures in the period when the assets are acquired. In the government-wide statement of activities, costs of capital assets, lease assets and subscription-based IT arrangements are allocated over their estimated useful lives and their lease terms as depreciation expense and amortization expense respectively. The difference between capital outlay expenditures and depreciation expense and amortization expense for the period is:

Expenditures for capital outlay	\$ 49,901,583	
Depreciation	(6,479,250)	
Amortization	(1,285,369)	42,136,964

Debt service:

In governmental funds, repayments of long-term debt are reported as expenditures. In the government-wide statements, repayments of long-term debt are reported as reductions of liabilities. Expenditures for repayment of the principal portion of long-term debt were:

6,429,410

Debt proceeds:

In governmental funds, proceeds from debt are recognized as other financing sources. In the government-wide statements, proceeds from debt are reported as increases to liabilities. Amounts recognized in governmental funds as proceeds from debt, net of issue premium or discount, were:

(2,151,754)

Gain or loss from the disposal of capital assets and right-to-use assets:

to-use assets are reported as revenue. In the government-wide statement of activities, only the resulting gain or loss is reported. The difference between the proceeds from disposal of capital assets and right-to-use assets and the resulting gain or loss is:

(323,770)

Unmatured interest on long-term debt:

In governmental funds, interest on long-term debt is recognized in the period that it becomes due. In the government-wide statement of activities, it is recognized in the period it is incurred. Unmatured interest owing at the end of the period, less matured interest paid during the period but owing from the prior period, was:

71,041

Accreted interest on long-term debt:

In governmental funds, accreted interest on capital appreciation bonds is not recorded as an expenditure from current sources. In the government-wide statement of activities, however, this is recorded as interest expense for the period:

(1,015,915)

Compensated absences:

In governmental funds, compensated absences are measured by the amounts paid during the period. In the government-wide statement of activities, compensated absences are measured by the amount earned. The difference between compensated absences paid and compensated absences earned, was:

(1,180,020)

Balance Forward

\$ 161,060,992

**LYNWOOD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES,
EXPENDITURES, AND CHANGES IN FUND BALANCES
TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2025**

Balance Brought Forward	\$ 161,060,992
Pensions:	
In government funds, pension costs are recognized when employer contributions are made. In the government-wide statement of activities, pension costs are recognized on the accrual basis. This year, the difference between accrual-basis pension costs and actual employer contributions was:	9,807,606
Postemployment benefits other than pensions (OPEB):	
In governmental funds, OPEB expenses are recognized when employer contributions are made. In the government-wide statement of activities, OPEB expenses are recognized on the accrual basis. This year, the difference between OPEB costs and actual employer contributions was:	6,256,304
Other liabilities not normally liquidated with current financial resources:	
In the government-wide statements, expenses must be accrued in connection with any liabilities incurred during the period that are not expected to be liquidated with current financial resources. Examples include special termination benefits such as retirement incentives financed over time, and structured legal settlements. This year, expenses incurred for such obligations were:	1,704,588
Amortization of deferred gain or loss from debt refunding:	
In the government-wide statements, any deferred gain or loss from debt refunding is amortized as interest over the life of the debt. Amortization of deferred gain or loss from debt refunding for the period is:	(139,795)
Amortization of debt issuance premium or discount:	
In governmental funds, if debt is issued at a premium or at a discount, the premium or discount is recognized as an 'other financing source' or an 'other financing use' in the period it is incurred. In the government-wide statements, the premium or discount is amortized over the life of the debt. Amortization of premium or discount for the period is:	422,936
Internal service funds:	
Internal service funds are used to conduct certain activities for which costs are charged to other funds on a full cost-recovery basis. Because internal service funds are presumed to benefit governmental activities, internal service activities are reported as governmental in the statement of activities. The net increase or decrease in internal service funds was:	2,412,015
Change in Net Position of Governmental Activities	<u>\$ 181,524,646</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
PROPRIETARY FUNDS
STATEMENT OF NET POSITION
JUNE 30, 2025

	Internal Service Fund
ASSETS	
Current Assets	
Cash and equivalents	\$ 18,873,331
Accounts receivable	159,960
Total Current Assets	<u>19,033,291</u>
TOTAL ASSETS	<u>\$ 19,033,291</u>
LIABILITIES	
Current Liabilities	
Accrued liabilities	\$ 219,284
Claims liability, current portion	<u>2,761,773</u>
Total Current Liabilities	<u>2,981,057</u>
Noncurrent Liabilities	
Claims liability, non-current portion	<u>5,894,172</u>
Total Noncurrent Liabilities	<u>5,894,172</u>
TOTAL LIABILITIES	<u>8,875,229</u>
NET POSITION	
Unrestricted	<u>10,158,062</u>
TOTAL NET POSITION	<u>10,158,062</u>
TOTAL LIABILITIES AND NET POSITION	<u>\$ 19,033,291</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
PROPRIETARY FUNDS
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
FOR THE YEAR ENDED JUNE 30, 2025

	Internal Service Fund
OPERATING REVENUES	
Local sources	\$ 6,503,204
Total Operating Revenues	<u>6,503,204</u>
OPERATING EXPENSES	
Certificated personnel salaries	56,524
Classified personnel salaries	666,091
Employee benefits	120,224
Services and other operating expenses	3,883,086
Total Operating Expenses	<u>4,725,925</u>
Operating Income/(Loss)	<u>1,777,279</u>
NON-OPERATING REVENUES/(EXPENSES)	
Interest income	634,736
Total Non-Operating Revenues/(Expenses)	<u>634,736</u>
CHANGE IN NET POSITION	2,412,015
NET POSITION - BEGINNING	<u>7,746,047</u>
NET POSITION - ENDING	<u>\$ 10,158,062</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
PROPRIETARY FUNDS
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED JUNE 30, 2025

	Internal Service Fund
Cash Flows from Operating Activities	
Cash received from assessments made to other funds	\$ 6,511,091
Cash payments to employees for services	(454,932)
Cash payments to employees for benefits	(120,224)
Cash payments for other goods and services	(3,959,035)
Net Cash Provided by/(Used in) Operating Activities	<u>1,976,900</u>
Cash Flows from Investing Activities	
Interest and dividends on investments	<u>634,736</u>
Net Cash Provided by/(Used in) Investing Activities	<u>634,736</u>
Net Increase/(Decrease) in Cash and Equivalents	2,611,636
Cash and Equivalents, Beginning of Year	<u>16,261,695</u>
Cash and Equivalents, End of Year	<u>\$ 18,873,331</u>
Reconciliation of Operating Income/(Loss) to Net Cash	
Provided by/(Used in) Operating Activities	
Operating Income/(Loss)	<u>\$ 1,777,279</u>
Adjustments to Reconcile Operating Income/(Loss) to Net Cash	
Provided by/(Used in) Operating Activities	
Changes in Assets and Liabilities:	
Accounts receivable	7,887
Accrued liabilities	(75,949)
Claims liability	<u>267,683</u>
Total Adjustments	<u>199,621</u>
Net Cash Flows From Operating Activities	<u>\$ 1,976,900</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
FIDUCIARY FUNDS
STATEMENT OF NET POSITION
JUNE 30, 2025

	Scholarship Trust Fund
ASSETS	
Cash and equivalents	\$ 26,120
Accounts receivable	243
TOTAL ASSETS	<u>\$ 26,363</u>
LIABILITIES	
Accrued liabilities	<u>\$ 1,000</u>
Total Liabilities	<u>1,000</u>
NET POSITION	
Held in trust	<u>25,363</u>
Total Net Position	<u>25,363</u>
TOTAL LIABILITIES AND NET POSITION	<u>\$ 26,363</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
FIDUCIARY FUNDS
STATEMENT OF CHANGES IN NET POSITION
FOR THE YEAR ENDED JUNE 30, 2025

	Scholarship Trust Fund
ADDITIONS	
Investment income	\$ 1,318
Total Additions	1,318
CHANGE IN NET POSITION	1,318
NET POSITION - BEGINNING	24,045
NET POSITION - ENDING	\$ 25,363

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The Lynwood Unified School District (the "District") was organized in 1950 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades kindergarten through twelve as mandated by the State and Federal agencies. The District operates twelve elementary, two middle schools, two high schools, a continuation high school, an adult regional occupational program, and two child-care centers.

A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For the District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation – Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into three broad fund categories: governmental, proprietary, and fiduciary.

Governmental Funds

Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance.

The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund: The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Child Development Fund: The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs (*Education Code* Sections 8200 and 8328).

Building Fund: The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Basis of Presentation – Fund Accounting, continued

Governmental Funds, continued

Non-Major Governmental Funds

Special Revenue Funds: The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

Student Activity Special Revenue Fund: The Student Activity Special Revenue Fund is used to account separately for the operating activities of the associated student body accounts that are not fiduciary in nature, including student clubs, general operations, athletics, and other student body activities.

Adult Education Fund: The Adult Education Fund is used to account separately for Federal, State, and local revenues that are restricted or committed for adult education programs and is to be expended for adult education purposes only (*Education Code* Sections 52616 and 52501.5).

Cafeteria Special Revenue Fund: The Cafeteria Special Revenue Fund is used to account separately for Federal, State and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Deferred Maintenance Fund: The Deferred Maintenance Fund is used to account separately for State apportionments and the District's contributions for deferred maintenance purposes (*Education Code* Sections 17582-17587) and for items of maintenance approved by the State Allocation Board.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Basis of Presentation – Fund Accounting, continued

Governmental Funds, continued

Non-Major Governmental Funds, continued

Capital Project Funds: The Capital Project Funds are established to account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds and trust funds). The District maintains the following capital project funds:

Capital Facilities Fund: The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approval (*Education Code* Sections 17620-17626 and *Government Code* Section 65995 et seq.). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).

County School Facilities Fund: The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), or the 2004 State School Facilities Fund (Proposition 55) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070 et seq.).

Special Reserve for Capital Outlay Projects Fund: The Special Reserve for Capital Outlay Projects Fund exists primarily to provide for the accumulation of General Fund monies for capital outlay purposes (*Education Code* Section 42840).

Debt Service Funds: The Debt Service Funds are established to account for the accumulation of resources for and the payment of principal and interest on general long-term debt.

Bond Interest and Redemption Fund: The Bond Interest and Redemption Fund is used for the payment of bonds issued for a District (*Education Code* Sections 15125-15262).

Tax Override Fund: The Tax Override Fund is used for the repayment of voted indebtedness (other than Bond Interest and Redemption Fund repayments) to be financed from ad valorem tax levies.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Basis of Presentation – Fund Accounting, continued

Proprietary Funds

Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has no enterprise funds. The District has the following proprietary funds:

Internal Service Fund: Internal Service funds may be used to account for goods and services provided to other funds of the District on a cost-reimbursement basis. The District operates a Workers' Compensation Program that is accounted for in an internal service fund.

Fiduciary Funds

Fiduciary funds are used to account for resources held for the benefit of parties outside the District and are not available to support the District's own programs. Fiduciary funds are split into four classifications: pension trust funds, investment trust funds, private-purpose trust funds, and custodial funds. The three types of trust funds are distinguished from custodial funds by the existence of a trust agreement or equivalent arrangement that has certain characteristics.

Scholarship Trust Fund: The Scholarship Trust Fund is used to account for resources held by the District under a trust agreement for individuals, private organizations, or other governments.

Basis of Accounting – Measurement Focus

Government-Wide Financial Statements

The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the statement of activities, except for depreciation. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net position are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their use.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Basis of Accounting – Measurement Focus, continued

Fund Financial Statements

Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The internal service fund is presented in a single column on the face of the proprietary fund statements.

Governmental Funds: All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.

Proprietary Funds: Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total assets. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary fund.

Fiduciary Funds: Fiduciary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. Fiduciary funds are excluded from the government-wide financial statements because they do not represent resources of the District.

Revenues – Exchange and Non-Exchange Transactions

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. The District considers revenues to be available if they are collected within one year after year-end, except for property taxes, which are considered available if collected within 60 days. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Basis of Accounting – Measurement Focus, continued

Revenues – Exchange and Non-Exchange Transactions, continued

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue

Unearned revenues arise when resources are received by the District before it has a legal claim to them, such as when certain grants are received prior to the occurrence of qualifying expenditures. In the subsequent periods, when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and the revenue is recognized.

Expenses/Expenditures

On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred. Principal and interest on long-term liabilities, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the government-wide statements.

Cash and Equivalents

The District's cash and equivalents consist of cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. For purposes of the statement of cash flows, cash and equivalents also include cash in county treasury and state investment pools, which may have investments with original maturities greater one year. Fair values of cash in county treasury and state investment pools are determined by the program sponsor.

Accounts Receivable

Accounts receivable include amounts due from the Local Control Fund Formula (LCFF), Federal, State and/or local governments, in connection with reimbursement of allowable expenditures made pursuant to the District's grants and contracts. Accounts receivable also consist of charges for other services. The District does not provide for an allowance for uncollectible accounts as an estimation of amounts that may not be received. Accounts receivable at June 30, 2025 are deemed fully collectible.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Prepaid Expenses

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements. The cost of prepaid items is recorded as expenditures/expenses when consumed rather than when purchased.

Other Current Assets

Other current assets represent salary advances granted to employees for services already rendered but not yet paid through regular payroll. These advances are expected to be recovered through subsequent payroll deductions within the next fiscal period.

Inventory

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the weighted average basis. The costs of inventory items are recorded as expenditures in the governmental funds and expenses in the proprietary funds when consumed rather than when purchased.

Capital Assets, Right-to-Use Assets, Depreciation and Amortization

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$5,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at acquisition value on the date donated.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 20 to 50 years; improvements, 5 to 50 years; and furniture and equipment, 5 to 50 years.

The District records the value of intangible right-to-use assets based on the underlying leased asset in accordance with GASB Statement No. 87, *Leases*. The right-to-use asset is amortized each year for the term of the contract or useful life of the underlying asset.

The District records the value of right-to-use subscription-based IT assets on the underlying subscription asset in accordance with GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*. The right-to-use subscription IT asset is amortized each year for the term of the contract or useful life of the underlying asset.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental activities columns of the statement of net position, except for the net residual amounts due between governmental activities, which are presented as internal balances.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resources. These amounts are reported in the fund from which the employees who have accumulated leave are paid.

GASB Statement No. 101 requires that liabilities for compensated absences be recognized for [1] leave that has not been used and [2] leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if [a] the leave is attributable to services already rendered, [b] the leave accumulates, and [c] the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

Flow Assumption: When determining the amounts due within one year for sick leave, accumulated sick leave as of June 30, 2025 is assumed to be used before future sick leave accruals (i.e. First In, First Out). The amount due within one year for vacation leave is based on the expected accumulated vacation leave to be cashed out upon the end of employment in the following year.

Under applicable California law, credit for unused sick leave is available at retirement. Classified employees retiring after January 1, 1999, receive 0.004 year of CalPERS service credit for each day of unused sick leave. Certificated employees receive CalSTRS service credit for unused sick leave, calculated by dividing unused sick days by the number of base service days required to complete the last school year, if employed full-time. This conversion to service credit is administered by the pension systems and does not create a direct financial liability of the District.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive 0.004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Accrued Liabilities, Interest Payable and Long-Term Liabilities

All payables, accounts payable, interest payable and long-term liabilities are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full, from current financial resources are reported as liabilities of the governmental funds.

However, claims and judgments, compensated absences, special termination benefits, and contractually required pension contributions that will be paid from governmental funds are reported as a liability in the governmental fund financial statements only to the extent that they are due for payment during the current year. Bonds, capital leases, and other long-term liabilities are recognized as liabilities in the governmental fund financial statements when due.

Debt Issuance Costs, Premiums and Discounts

In the government-wide financial statements and in the proprietary fund type financial statements, long-term liabilities are reported as liabilities in the applicable governmental activities or proprietary fund statement of net position. Debt premiums and discounts, as well as issuance costs related to prepaid insurance costs are amortized over the life of the bonds using the straight-line method, which approximates the effective interest method.

In governmental fund financial statements, bond premiums and discounts, as well as debt issuance costs are recognized in the period the bonds are issued. The face amount of the debt is reported as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures in the period the bonds are issued.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for deferred charges on refunding of debt, for pension related items, and for OPEB related items.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for leases, pension related items and for OPEB related items.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid by the fund in which the employee worked.

Other Postemployment Benefits (OPEB)

For purposes of measuring the net OPEB liability/(asset), deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense/(benefit), information about the fiduciary net position of the District Plan and the CalSTRS Medicare Premium Payment (MPP) Program and additions to/deductions from the District Plan and the MPP's fiduciary net position have been determined on the same basis as they are reported by the District Plan and the MPP. For this purpose, the District Plan and the MPP recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for money market investments and participating interest-earning investment contracts that have a maturity at the time of purchase of one year or less, which are reported at cost. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund.

Leases

The District recognizes a lease liability and a right-to-use asset in the government-wide financial statements. At the commencement of the lease term, the District measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The right-to-use asset is initially measured as the initial amount of the lease liability, plus certain initial direct costs. Subsequently, the right-to-use asset is amortized on a straight-line basis over the lease term or useful life of the underlying asset.

The District recognizes a lease receivable and a deferred inflow of resources in the government-wide and governmental fund financial statements. At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Subscriptions

The District recognizes a subscription liability and an intangible right-to-use subscription IT asset (subscription IT asset) in the government-wide financial statements. At the commencement of the subscription term, the District measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made. The subscription IT asset is initially measured as the initial amount of the subscription liability, plus certain initial direct costs. Subsequently, the subscription IT asset is amortized on a straight-line basis over shorter of the subscription term or useful life of the underlying asset. The amortization period varies from two to five years.

Fund Balances - Governmental Funds

As of June 30, 2025, fund balances of the governmental funds are classified as follows:

Nonspendable: amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Committed: amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board. The District currently does not have any committed funds.

Assigned: amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes.

Unassigned: all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets and deferred charges on refunding bonds that are attributable capital activity. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$239,933,775 of restricted net position, of which is restricted by enabling legislation.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are interfund insurance premiums. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Interfund Activity

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds.

Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental activities columns of the Statement of Activities.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates, and those differences could be material.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Los Angeles bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Budgetary Data

The budgetary process is prescribed by provisions of the *California Education Code* and requires the governing board to hold a public hearing and adopt an operating budget no later than July 1 of each year. The District governing board satisfied these requirements. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for. For purposes of the budget, on-behalf payments have not been included as revenue and expenditures as required under generally accepted accounting principles.

Adoption of New Accounting Standards

The following GASB Pronouncements were adopted by the District during the year ended June 30, 2025:

GASB Statement No. 101: In June 2022, GASB issued Statement No. 101, *Compensated Absences*. The objective of this statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. The financial impact of this statement is reflected in Notes 9 and 16.

GASB Statement No. 102: In December 2023, GASB issued Statement No. 102, *Certain Risk Disclosures*. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should disclose in notes to financial statements the information if the following criteria have been met; (a) a concentration or constraint is known to the government prior to the issuance of the financial statements and makes the reporting unit vulnerable to the risk of a substantial impact, (b) an event or events associated with the concentration or constraint that could cause a substantial impact have occurred, have begun to occur, or are more likely than not to begin to occur within 12 months of the date the financial statements are issued. Management has determined that the adoption of this statement did not have any material impact on the District's financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, continued

Upcoming GASB Pronouncements

The GASB has issued several pronouncements that may impact future financial presentations. Management has not currently determined what, if any, impact implementation of the following statements may have on the financial statements of the District.

GASB Statement No. 103: In April 2024, GASB issued Statement No. 103, *Financial Reporting Model Improvements*. The objective of this Statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues. This statement is effective for periods beginning after June 15, 2025.

GASB Statement No. 104: In September 2024, GASB issued Statement No. 104, *Disclosure of Certain Capital Assets*. The objective of this Statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by GASB Statement No. 34, *Basic Financial Statements—and Management's Discussion and Analysis—for State and Local Governments*. This statement also requires additional disclosures for capital assets held for sale. This statement is effective for periods beginning after June 15, 2025.

NOTE 2 – CASH AND EQUIVALENTS

Summary of Cash and Equivalents

Cash and equivalents as of June 30, 2025, are classified in the financial statements and consist of the following:

	Governmental Funds	Proprietary Funds	Governmental Activities	Fiduciary Funds
Cash in county treasury	\$ 357,130,236	\$ 18,873,331	\$ 376,003,567	\$ 26,120
Cash on hand and in banks	498,833	-	498,833	-
Cash in revolving fund	252,350	-	252,350	-
Total Cash and Equivalents	<u>\$ 357,881,419</u>	<u>\$ 18,873,331</u>	<u>\$ 376,754,750</u>	<u>\$ 26,120</u>

Policies and Practices

The District is authorized under *California Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium-term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 2 – CASH AND EQUIVALENTS, continued

Cash in County Treasury

The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the accounting financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20%	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 2 – CASH AND EQUIVALENTS, continued

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the Los Angeles County Treasury Investment Pool.

The District monitors the interest rate risk inherent in its portfolio by measuring the weighted average maturity of its portfolio. Information about the weighted average maturity of the District's portfolio is presented in the following schedule:

Investment Type	Reported Amount	Weighted Average Maturity
Los Angeles County Treasury Investment Pool	\$ 376,029,687	556 Days

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment in the Los Angeles County Treasury Investment Pool is not required to be rated, nor has it been rated as of June 30, 2025.

Custodial Credit Risk – Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the *California Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under State law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110% of the total amount deposited by the public agencies. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150% of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105% of the secured deposits.

As of June 30, 2025, the District's bank balance of \$925,993 was exposed to custodial credit risk because it was uninsured and not collateralized.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 3 – ACCOUNTS RECEIVABLE

Accounts receivable at June 30, 2025, consisted of intergovernmental grants, entitlements, interest and other local sources. All accounts receivable are considered collectible in full.

	General Fund	Child Development Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds	Proprietary Funds	Total Governmental Activities	Fiduciary Funds
Federal Government								
Categorical aid	\$ 8,090,611	\$ 74	\$ -	\$ 2,039,839	\$ 10,130,524	\$ -	\$ 10,130,524	\$ -
State Government								
Categorical aid	5,560,049	-	-	1,222,377	6,782,426	-	6,782,426	-
Lottery	792,190	-	-	-	792,190	-	792,190	-
Local Government								
Interest	1,506,328	95,466	497,026	639,467	2,738,287	159,960	2,898,247	243
Other local sources	1,032,692	3,023	-	2,248	1,037,963	-	1,037,963	-
Total Accounts Receivable	\$ 16,981,870	\$ 98,563	\$ 497,026	\$ 3,903,931	\$ 21,481,390	\$ 159,960	\$ 21,641,350	\$ 243

NOTE 4 – CAPITAL ASSETS AND RIGHT-TO-USE ASSETS

Capital assets and right-to-use assets activities for the fiscal year ended June 30, 2025, were as follows:

	Balance July 01, 2024	Additions	Deductions	Balance June 30, 2025
Governmental Activities				
Capital Assets Not Being Depreciated				
Land	\$ 32,298,855	\$ -	\$ -	\$ 32,298,855
Construction in progress	4,507,963	24,111,578	3,394,021	25,225,520
Total Capital Assets Not Being Depreciated	36,806,818	24,111,578	3,394,021	57,524,375
Capital Assets Being Depreciated				
Land improvements	18,247,315	480,099	-	18,727,414
Buildings and improvements	156,191,957	23,185,586	1,829,011	177,548,532
Furniture and equipment	20,476,768	3,366,587	-	23,843,355
Total Capital Assets Being Depreciated	194,916,040	27,032,272	1,829,011	220,119,301
Total Capital Assets	231,722,858	51,143,850	5,223,032	277,643,676
Less: Accumulated Depreciation				
Land improvements	6,960,467	1,149,835	-	8,110,302
Buildings and improvements	77,082,498	4,145,477	1,829,011	79,398,964
Furniture and equipment	9,254,070	1,183,938	-	10,438,008
Total Accumulated Depreciation	93,297,035	6,479,250	1,829,011	97,947,274
Capital Assets, Net	138,425,823	44,664,600	3,394,021	179,696,402
Right-to-Use Assets				
Leased assets - furniture and equipment	3,134,231	1,059,007	3,115,267	1,077,971
Subscription-based IT arrangements	541,161	1,092,747	35,690	1,598,218
Total Right-to-Use Assets	3,675,392	2,151,754	3,150,957	2,676,189
Less: Accumulated Amortization				
Leased assets - furniture and equipment	2,138,433	721,067	2,791,497	68,003
Subscription-based IT arrangements	251,964	564,302	35,690	780,576
Total Accumulated Amortization	2,390,397	1,285,369	2,827,187	848,579
Right-to-Use Assets, Net	1,284,995	866,385	323,770	1,827,610
Total Capital Assets and Right-to-Use Assets, Net	\$ 139,710,818	\$ 45,530,985	\$ 3,717,791	\$ 181,524,012

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 5 – LEASE RECEIVABLE

The District has entered into lease agreements with various lessees. The lease receivables are summarized below:

Description	Balance July 01, 2024	Additions	Deductions	Balance June 30, 2025	Due in One Year
Building - Volunteers of America	\$ 162,596	\$ -	\$ 18,980	\$ 143,616	\$ 19,608
Building - St. Anne's (Clark)	1,834,503	-	48,086	1,786,417	49,267
Building - St. Anne's (Pendleton)	2,016,871	-	52,646	1,964,225	53,940
Total Lease Receivable	\$ 4,013,970	\$ -	\$ 119,712	\$ 3,894,258	\$ 122,815

Building – Volunteers of America

The District leased a building to Volunteers of America. The lease is for a term of 60-months with an additional 60-month renewal option. The agreement has fixed payments for the life of the lease. The agreement allows for either party to terminate upon providing written notice within an agreed upon number of days. However, the District is reasonably certain that the lessee will not exercise the termination option. At termination, the lessee must vacate the premises. The District used an interest rate of 3.26% based on the market rate at the time of lease inception. During the fiscal year, the District recognized \$20,508 in lease revenue and \$4,971 in interest revenue related to the agreement. At June 30, 2025, the District recorded \$143,616 in lease receivable and \$136,719 in deferred inflow of resources for this agreement.

Building – St. Anne's (Clark)

The District leased a building to St. Anne's Family Services. The lease is for a term of 60-months with a renewal option of up to 60 month terms. The agreement has fixed payments for the life of the lease. The agreement allows for either party to terminate upon providing written notice within an agreed upon number of days. However, the District is reasonably certain that the lessee will not exercise the termination option. At termination, the lessee must vacate the premises. The District used an interest rate of 2.43% based on the market rate at the time of lease inception. During the fiscal year, the District recognized \$65,492 in lease revenue and \$44,044 in interest revenue related to the agreement. At June 30, 2025, the District recorded \$1,786,417 in lease receivable and \$1,723,396 in deferred inflow of resources for this agreement.

Building – St. Anne's (Pendleton)

The District leased a building to St. Anne's Family Services. The lease is for a term of 60-months with a renewal option of up to 5, 60 month terms. The agreement has fixed payments for the life of the lease. The agreement allows for either party to terminate upon providing written notice within an agreed upon number of days. However, the District is reasonably certain that the lessee will not exercise the termination option. At termination, the lessee must vacate the premises. The District used an interest rate of 2.43% based on the market rate at the time of lease inception. During the fiscal year, the District recognized \$71,977 in lease revenue and \$48,425 in interest revenue related to the agreement. At June 30, 2025, the District recorded \$1,964,225 in lease receivable and \$1,894,233 in deferred inflow of resources for this agreement.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 5 – LEASE RECEIVABLE, continued

The future deferred inflows on the non-cancellable leases at June 30, 2025 are as follows:

Year Ending June 30,	Principal Receivable	Interest	Total
2026	\$ 122,815	\$ 94,333	\$ 217,148
2027	125,751	91,395	217,146
2028	129,265	87,879	217,144
2029	132,620	84,521	217,141
2030	136,064	81,074	217,138
2031-2035	650,442	355,422	1,005,864
2036-2040	690,776	275,162	965,938
2041-2045	779,988	185,921	965,909
2046-2050	880,722	85,153	965,875
2051-2052	245,815	4,068	249,883
Total	<u>\$ 3,894,258</u>	<u>\$ 1,344,928</u>	<u>\$ 5,239,186</u>

NOTE 6 – INTERFUND TRANSACTIONS

Interfund Receivables/Payables (Due To/Due From)

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2025, between major and non-major governmental funds, internal service funds, and fiduciary funds are as follows:

Payable Fund	Receivable Fund	
	Building Fund	Total
General Fund	<u>\$ 207,783</u>	<u>\$ 207,783</u>

Due from General Fund to Building Fund for
reimbursement of costs from prior year. \$ 207,783

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 6 – INTERFUND TRANSACTIONS, continued

Operating Transfers

Interfund transfers for the year ended June 30, 2025, consisted of the following:

Interfund Transfer Out	Interfund Transfer In	
	Non-Major Governmental Funds	Total
General Fund	\$ 459,862	\$ 459,862

Transfer from General Fund to the Adult Education Fund to support school program encroachment.	\$ 459,862
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NOTE 7 – ACCRUED LIABILITIES

Accrued liabilities at June 30, 2025, consisted of the following:

	General Fund	Child Development Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds	Proprietary Funds	Total Governmental Activities	Fiduciary Funds
Payroll and related	\$ 19,389,153	\$ 174,970	\$ 12,860	\$ 566,826	\$ 20,143,809	\$ 30,301	\$ 20,174,110	\$ -
Vendors payable	7,973,900	102,864	649,144	3,484,746	12,210,654	188,983	12,399,637	1,000
Due to grantor government	7,781,838	3,964,674	-	-	11,746,512	-	11,746,512	-
Total Accrued Liabilities	\$ 35,144,891	\$ 4,242,508	\$ 662,004	\$ 4,051,572	\$ 44,100,975	\$ 219,284	\$ 44,320,259	\$ 1,000

NOTE 8 – UNEARNED REVENUE

Unearned revenue at June 30, 2025, consisted of the following:

	General Fund	Child Development Fund	Total Governmental Funds
Federal Government			
Categorical aid	\$ 329,218	\$ -	\$ 329,218
State Government			
Other state sources	679,872	3,456,925	4,136,797
Local Government			
Other local sources	17,503	-	17,503
Total Unearned Revenue	\$ 1,026,593	\$ 3,456,925	\$ 4,483,518

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 9 – LONG-TERM LIABILITIES

Summary

The changes in the District's long-term liabilities during the year consisted of the following:

	Balance July 01, 2024	Adjustments (Note 16)	Adjusted Balance July 01, 2024	Additions	Deductions	Balance June 30, 2025	Due in One Year
Governmental Activities							
General obligation bonds (GOBs)	\$ 145,398,031	\$ -	\$ 145,398,031	\$ 1,015,915	\$ 4,060,000	\$ 142,353,946	\$ 4,340,000
Unamortized debt premiums - GOBs	7,075,846	-	7,075,846	-	348,313	6,727,533	348,314
Unamortized debt discounts - GOBs	(13,548)	-	(13,548)	-	(903)	(12,645)	(903)
Certificates of participation (COPs)	14,625,000	-	14,625,000	-	760,000	13,865,000	805,000
Unamortized debt premiums - COPs	1,057,365	-	1,057,365	-	75,526	981,839	75,525
Lease liabilities	1,027,962	-	1,027,962	1,059,007	1,074,416	1,012,553	180,674
Subscription-based IT arrangements (SBITAs)	77,842	-	77,842	1,092,747	534,994	635,595	480,812
Early retirement liability	1,777,083	1,632,093	3,409,176	-	1,704,588	1,704,588	1,704,588
Compensated absences	2,727,364	10,318,501	13,045,865	1,180,020	-	14,225,885	2,772,606
Claims liability	8,388,262	-	8,388,262	267,683	-	8,655,945	2,761,773
Net pension liability	165,956,604	-	165,956,604	-	8,814,784	157,141,820	-
Net OPEB liability	34,844,830	-	34,844,830	-	6,890,247	27,954,583	-
Total Long-Term Liabilities	\$ 382,942,641	\$ 11,950,594	\$ 394,893,235	\$ 4,615,372	\$ 24,261,965	\$ 375,246,642	\$ 13,468,389

Payments for bonds associated with general obligation bonds are made in the Bond Interest and Redemption Fund. Payments for certificates of participation, lease liabilities, subscription-based IT arrangements and the early retirement liability are made from General Fund. Payments for compensated absences (vacations) are typically liquidated in the General Fund. Payments for claims liability are made from the Internal Service Fund.

General Obligation Bonds

The outstanding general obligation bonds are as follows:

Description	Issuance Date	Final Maturity Date	Interest Rate	Original Issue	Balance July 01, 2024	Additions	Deductions	Balance June 30, 2025	Due in One Year
2002 Series A	5/1/2003	8/1/2028	5.52% - 6.90%	\$ 19,999,801	\$ 1,785,695	\$ 99,929	\$ -	\$ 1,885,624	\$ -
2012 Refunding	2/9/2012	8/1/2027	2.00% - 5.00%	14,700,000	7,375,000	-	1,620,000	5,755,000	1,760,000
2012 Series B	7/31/2014	8/1/2039	1.25% - 4.28%	10,655,000	9,965,000	-	100,000	9,865,000	250,000
2012 Series C	5/5/2016	8/1/2041	2.00% - 4.00%	9,610,000	9,075,000	-	135,000	8,940,000	65,000
2012 Series D-1	8/1/2017	8/1/2042	2.00% - 4.09%	8,863,701	11,364,375	425,627	260,000	11,530,002	275,000
2016 Series A	8/3/2017	8/1/2042	2.00% - 5.00%	15,535,000	12,385,000	-	195,000	12,190,000	225,000
2016 Series B	1/28/2020	8/1/2049	2.25% - 4.00%	25,000,000	22,220,000	-	-	22,220,000	-
2020 Refunding	3/17/2020	8/1/2038	0.99% - 2.52%	13,325,000	12,510,000	-	655,000	11,855,000	670,000
2012 Series E	8/5/2021	8/1/2048	1.99% - 4.00%	34,375,876	35,142,961	490,359	20,000	35,613,320	-
2016 Series C	9/9/2022	8/1/2041	4.00% - 5.00%	24,465,000	23,575,000	-	1,075,000	22,500,000	1,095,000
Total General Obligation Bonds				\$ 176,529,378	\$ 145,398,031	\$ 1,015,915	\$ 4,060,000	\$ 142,353,946	\$ 4,340,000

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 9 – LONG-TERM LIABILITIES, continued

General Obligation Bonds, continued

Debt Service Requirements to Maturity

Year Ending June 30,	Principal	Interest	Accreted Interest	Total
2026	\$ 4,289,540	\$ 4,179,137	\$ 50,460	\$ 8,519,137
2027	3,761,569	4,043,124	68,431	7,873,124
2028	4,202,670	3,910,549	87,330	8,200,549
2029	3,016,943	3,782,462	1,748,057	8,547,462
2030	2,792,423	3,633,112	147,577	6,573,112
2031-2035	19,837,192	16,607,278	1,487,808	37,932,278
2036-2040	31,716,736	11,563,822	3,638,264	46,918,822
2041-2045	29,936,684	7,034,575	11,443,316	48,414,575
2046-2050	36,668,085	3,430,350	6,271,915	46,370,350
Accreted Interest	6,132,104	-	(6,132,104)	-
Total	\$ 142,353,946	\$ 58,184,409	\$ 18,811,054	\$ 219,349,409

Certificates of Participation

The outstanding certificates of participation are as follows:

Description	Issuance Date	Final Maturity Date	Interest Rate	Original Issue	Balance July 01, 2024	Additions	Deductions	Balance June 30, 2025	Due in One Year
2007 COP	7/10/2007	10/1/2037	4.00% - 5.00%	\$ 4,260,000	\$ 1,955,000	\$ -	\$ 105,000	\$ 1,850,000	\$ 110,000
2016 Refunding COP	2/2/2016	10/1/2037	2.00% - 5.00%	16,325,000	12,670,000	-	655,000	12,015,000	695,000
Total Certificates of Participation				\$ 20,585,000	\$ 14,625,000	\$ -	\$ 760,000	\$ 13,865,000	\$ 805,000

The certificates of participation mature through 2038 as follows:

Year Ending June 30,	Principal	Interest	Total
2026	\$ 805,000	\$ 554,056	\$ 1,359,056
2027	835,000	513,056	1,348,056
2028	880,000	470,181	1,350,181
2029	925,000	425,056	1,350,056
2030	975,000	377,556	1,352,556
2031-2035	5,560,000	1,182,306	6,742,306
2036-2038	3,885,000	205,791	4,090,791
Total	\$ 13,865,000	\$ 3,728,002	\$ 17,593,002

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 9 – LONG-TERM LIABILITIES, continued

Lease Liabilities

The District has entered into agreements to lease various equipment and vehicles. The District's liability on lease agreements is summarized below:

Description	Balance July 01, 2024	Additions	Deductions	Balance June 30, 2025	Due in One Year
Equipment - copiers	\$ 1,013,879	\$ 826,315	\$ 1,049,213	\$ 790,981	\$ 139,668
Equipment - folding machine	2,180	-	2,180	-	-
Equipment - vehicles	11,903	232,692	23,023	221,572	41,006
Total Lease Liabilities	\$ 1,027,962	\$ 1,059,007	\$ 1,074,416	\$ 1,012,553	\$ 180,674

Equipment – Copiers

The District entered into various agreements to lease four copiers for periods of 60 and 63 months, beginning March 2020 and April 2025. The leases will terminate in March 2025; December 2025 and June 2030, based on the term dates. Under the terms of the leases, the District pays monthly payments of \$539, \$369, \$56,700 and \$15,500, which amount to total principal and interest costs of \$876,138 annually. The annual interest rates charged on the leases range from 2.10% to 6.68% based on the rates from the State and Local Government Securities table, plus 150 basis points, for the nearest maturity to the non-cancelable term of the agreements. At June 30, 2025, the District recognized a right-to-use asset of \$788,911, net of accumulated amortization, and a lease liability of \$790,981 related to these agreements. During the fiscal year, the District recorded \$695,741 in amortization expense and \$23,717 in interest expense for the leases.

Equipment – Folding Machine

The District entered an agreement to lease a folding machine for a period of 63 months, beginning July 2019. The lease was terminated in September 2024, based on the term date. Under the terms of the lease, the District pays monthly payment of \$729, which amount to total principal and interest costs of \$8,748 annually. The annual interest rate charged on the lease was 2.00% based on the rate from the State and Local Government Securities table, plus 150 basis points, for the nearest maturity to the non-cancelable term of the agreements. At June 30, 2025, the related right-to-use asset was fully amortized and disposed, and the related lease liability has matured. During the fiscal year, the District recorded \$2,118 in amortization expense and \$4 in interest expense for the lease.

Equipment – Vehicles

The District entered into various agreements to lease fleets of vehicles for periods of 60 months, beginning September 2019 and March 2025. The leases will terminate in September 2024 and March 2030, based on the term dates. Under the terms of the leases, the District pays monthly payment of \$3,981 and \$4,547, which amount to total principal and interest costs of \$102,336 annually. The annual interest rates charged on the leases were 2.00% and 6.68% based on the rate from the State and Local Government Securities table, plus 150 basis points, for the nearest maturity to the non-cancelable term of the agreements. At June 30, 2025, the District recognized a right-to-use asset of \$221,057, net of accumulated amortization, and a lease liability of \$221,572 related to these agreements. During the fiscal year, the District recorded \$23,208 in amortization expense and \$13,582 in interest expense for the leases.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 9 – LONG-TERM LIABILITIES, continued

Lease Liabilities, continued

The remaining principal and interest payment requirements for the lease liabilities as of June 30, 2025 are as follows:

Year Ending June 30,	Principal	Interest	Total
2026	\$ 180,674	\$ 62,093	\$ 242,767
2027	190,768	49,799	240,567
2028	203,908	36,659	240,567
2029	217,954	22,613	240,567
2030	219,249	7,675	226,924
Total	\$ 1,012,553	\$ 178,839	\$ 1,191,392

Subscription-Based Information Technology Arrangements (SBITAs)

The District entered into various SBITA contracts related to school management software and digital curriculum with subscription terms ranging from 13 to 48 months. The subscription liabilities were valued using discount rates ranging from 3.16% to 6.97% based on the rates from the State and Local Government Securities table, plus 150 basis points, for the nearest maturity to the non-cancelable term of the agreements. At June 30, 2025, the District has recognized a right-to-use subscription-based IT asset of \$817,642, net of accumulated amortization, and a SBITA liability of \$635,595 related to these agreements.

The remaining principal and interest payment requirements for the SBITA obligation debt as of June 30, 2025 are as follows:

Year Ending June 30,	Principal	Interest	Total
2026	\$ 480,812	\$ 19,241	\$ 500,053
2027	154,783	4,891	159,674
Total	\$ 635,595	\$ 24,132	\$ 659,727

Early Retirement Liability

The District offered a retirement incentive (Voluntary Retirement Program) in 2023 to qualified employees. Eligibility requirements are that the employees attain age 55 with at least 5 years of service with the District and are employed by the District as of July 1, 2022. At June 30, 2025, the remaining balance of the payments are:

Year Ending June 30,	Total
2026	\$ 1,704,588
Total	\$ 1,704,588

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 9 – LONG-TERM LIABILITIES, continued

Compensated Absences

The liability for compensated absences reported in the government-wide financial statements consists of unused vacation and sick leave that is expected to be used in future periods or paid upon termination, in accordance with employee collective bargaining agreements and District policy.

At June 30, 2025, the liability recorded for compensated absences was \$14,225,885.

Claims Liability

The District has an outstanding long-term obligation for incurred, but not reported, claims for the District's Internal Service Fund in the amount of \$8,655,945, undiscounted.

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB)

For the fiscal year ended June 30, 2025, the District reported net OPEB liability/(asset), deferred outflows of resources, deferred inflows of resources, and OPEB expense/(benefit) for the following plans:

OPEB Plan	Net OPEB Liability/(Asset)	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense/(Benefit)
District Plan	\$ 27,451,060	\$ 1,602,755	\$ 10,452,556	\$ (6,184,472)
MPP Program	503,523	-	-	(71,832)
Total	<u>\$ 27,954,583</u>	<u>\$ 1,602,755</u>	<u>\$ 10,452,556</u>	<u>\$ (6,256,304)</u>

The details of each plan are as follows:

District Plan

Plan Administration

The District's governing board administers the Postemployment Benefits Plan (the Plan). The Plan is a single employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB) for eligible retirees. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Plan Membership

At June 30, 2025, the valuation date, the Plan membership consisted of the following:

	Number of Participants
Inactive employees receiving benefits	181
Participating active employees	1,411
Total	<u>1,592</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

District Plan, continued

Benefits Provided

The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Benefits are provided through a third-party insurer, and the full cost of benefits is covered by the Plan. The District's governing board has the authority to establish and amend the benefit terms as contained within the negotiated labor agreements.

	Classified	Certificated
Benefit types provided	Medical, Dental, & Vision	Medical, Dental, & Vision
Duration of benefits	To age 65	To age 65
Required services	10 years	10 years
Minimum age	55	55
Dependent coverage	Yes	Yes
District contribution	\$12,996 per year \$11,356 per year for SEIU	\$11,356 per year

Contributions

The benefit payment requirements of Plan members and the District are established and may be amended by the District and the Teacher Education Association (TEA), the local California Service Employees Association (CSEA), and unrepresented groups. The benefit payment is based on projected pay-as-you-go financing requirements as determined annually through the agreement with the District, TEA, CSEA, and the unrepresented groups. For the measurement period of June 30, 2025, the District paid \$1,534,412 in benefits.

Total OPEB Liability of the District

The District’s total OPEB liability of \$27,451,060 was measured as of June 30, 2025, and the total OPEB liability used to calculate the total OPEB liability was determined by an actuarial valuation as of July 1, 2025.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

District Plan, continued

Actuarial Assumptions

The total OPEB liability in the July 1, 2025 actuarial valuation was determined using the following assumptions, applied to all period included in the measurement, unless otherwise specified:

Valuation date	July 1, 2025
Measurement date	June 30, 2025
Actuarial cost methods	Entry Age Level % of Salary
Discount rate	5.20%
Payroll Growth	2.80%
Healthcare cost trend rate	8.00% decreasing to an ultimate rate of 4.50%.
Mortality	Certificated - SOA Pub-2016 Teachers Total Dataset Headcount Weighted Mortality Table fully generational using Scale MP-2021. Classified - SOA Pub-2016 General Total Dataset Headcount Weighted Mortality Table fully generational using Scale MP-2021. Surviving Spouses - SOA Pub-2016 Contingent Survivors Total Dataset Headcount Weighted Mortality Table fully generational using Scale MP-2021.

The discount rate was based on the 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher (or equivalent quality on another rating scale) tax-exempt, high quality 20-year municipal bonds.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

District Plan, continued

Changes in the Net OPEB Liability/(Asset)

	Increase/(Decrease)		
	Total OPEB Liability	Total Fiduciary Net Position	Net OPEB Liability/(Asset)
	(a)	(b)	(a) - (b)
Balance July 1, 2024 (Measurement Date)	\$ 34,269,475	\$ -	\$ 34,269,475
Changes for the year:			
Service cost	2,173,774	-	2,173,774
Interest	1,502,294	-	1,502,294
Employer contributions as benefit payments	-	1,534,412	(1,534,412)
Changes of benefit terms	(7,357,806)	-	(7,357,806)
Difference between expected and actual experience	(432,589)	-	(432,589)
Changes of assumptions	(1,169,676)	-	(1,169,676)
Expected benefit payments	(1,534,412)	(1,534,412)	-
Net change	(6,818,415)	-	(6,818,415)
Balance June 30, 2025 (Measurement Date)	\$ 27,451,060	\$ -	\$ 27,451,060

Changes of assumptions reflect a change in the discount rate from 4.21% in 2024 to 5.20% in 2025. The District's annual contribution maximums (caps) are assumed to increase consistent with medical premium rates.

Sensitivity of the Net OPEB Liability/(Asset) to Changes in the Discount Rate

The following presents the net OPEB liability/(asset) of the District, as well as what the District's net OPEB liability/(asset) would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

	1% Decrease (4.20%)	Current Discount Rate (5.20%)	1% Increase (6.20%)
Net OPEB Liability/(Asset)	\$ 29,102,425	\$ 27,451,060	\$ 25,839,445

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

District Plan, continued

Sensitivity of the Net OPEB Liability/(Asset) to Changes in the Healthcare Cost Trend Rates

The following presents the net OPEB liability/(asset) of the District, as well as what the District's net OPEB liability/(asset) would be if it were calculated using healthcare cost trend rates that are one percent lower or higher than the current healthcare costs trend rates:

	Healthcare Cost		
	1% Decrease (7.00%)	Trend Rate (8.00%)	1% Increase (9.00%)
Net OPEB Liability/(Asset)	\$ 26,009,605	\$ 27,451,060	\$ 29,110,791

OPEB Expense/(Benefit) and Deferred Outflows and Inflows of Resources related to OPEB

At June 30, 2025, the District reported deferred outflows of resources and deferred inflow of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 461,868	\$ 6,653,248
Change of assumptions	1,140,887	3,799,308
Total	\$ 1,602,755	\$ 10,452,556

For the year ended June 30, 2025, the District recognized OPEB expense/(benefit) of \$(6,184,472).

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense/(benefit) as follows:

Year Ending June 30,	Deferred Outflows/(Inflows) of Resources
2026	\$ (968,322)
2027	(968,322)
2028	(968,318)
2029	(950,351)
2030	(1,015,043)
Thereafter	(3,979,445)
Total	\$ (8,849,801)

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

Medicare Premium Payment (MPP) Program

Plan Description

The Medicare Premium Payment (MPP) Program is administered by the California State Teachers' Retirement System (CalSTRS). The MPP Program is a cost-sharing multiple-employer other postemployment benefit plan (OPEB) established pursuant to Chapter 1032, Statutes 2000 (SB 1435). CalSTRS administers the MPP Program through the Teachers' Health Benefits Fund (THBF).

A full description of the MPP Program regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2023 annual actuarial valuation report, Medicare Premium Payment Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The MPP Program pays Medicare Part A premiums and Medicare Parts A and B late enrollment surcharges for eligible members of the State Teachers Retirement Plan (STRP) Defined Benefit (DB) Program who were retired or began receiving a disability allowance prior to July 1, 2012 and were not eligible for premium free Medicare Part A. The payments are made directly to the Centers for Medicare and Medicaid Services (CMS) on a monthly basis.

The MPP Program is closed to new entrants as members who retire after July 1, 2012, are not eligible for coverage under the MPP Program.

Contribution

The MPP Program is funded on a pay-as-you go basis from a portion of monthly District benefit payments. In accordance with *California Education Code* Section 25930, contributions that would otherwise be credited to the DB Program each month are instead credited to the MPP Program to fund monthly program and administrative costs. Total redirections to the MPP Program are monitored to ensure that total incurred costs do not exceed the amount initially identified as the cost of the program.

Net OPEB Liability/(Asset) and OPEB Expense/(Benefit)

At June 30, 2025, the District reported a net OPEB liability/(asset) of \$503,523 for its proportionate share of the net OPEB liability/(asset) for the MPP Program. The net OPEB liability/(asset) was measured as of June 30, 2024, and the total OPEB liability used to calculate the net OPEB liability/(asset) was determined by an actuarial valuation as of June 30, 2023. The District's proportion of the net OPEB liability/(asset) was based on a projection of the District's long-term share of contributions to the OPEB Plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2024 and June 30, 2023, respectively, was 0.189 percent, and 0.190 percent, resulting in a net decrease in the proportionate share of 0.001 percent.

For the year ended June 30, 2025, the District recognized OPEB expense/(benefit) of \$(71,832).

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

Medicare Premium Payment (MPP) Program, continued

Actuarial Methods and Assumptions

The total OPEB liability was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total OPEB liability to June 30, 2024, using the assumptions listed in the following table:

Valuation Date	June 30, 2023
Measurement Date	June 30, 2024
Actuarial Cost Method	Entry Age Normal
Discount Rate	3.93%
Medicare Part A Premium	
Healthcare Cost Trend Rate*	5.00%
Medicare Part B Premium	
Healthcare Cost Trend Rate*	6.50%
Mortality Rate Table*	Derived Using CalSTRS' Membership Data

*The assumed increases in the Medicare Part A and Part B cost trend rates vary by year; however, the increases are approximately equivalent to a 5.0% and 6.5% increase each year for Medicare Part A and Part B premiums, respectively.

The discount rate was based on the Bond Buyer 20-Bond GO Index from Bondbuyer.com.

Sensitivity of the District’s Proportionate Share of the Net OPEB Liability/(Asset) to Changes in the Discount Rate

The following presents the District's proportionate share of the net OPEB liability/(asset) calculated using the current discount rate, as well as what the net pension liability/(asset) would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

	1% Decrease	Current	1% Increase
	(2.93%)	Discount Rate (3.93%)	(4.93%)
Net OPEB Liability/(Asset)	\$ 543,289	\$ 503,523	\$ 468,556

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 10 – OTHER POSTEMPLOYMENT BENEFIT (OPEB), continued

Medicare Premium Payment (MPP) Program

Sensitivity of the District's Proportionate Share of the Net OPEB Liability/(Asset) to Changes in the Healthcare Cost Trend Rates

The following presents the District's proportionate share of the net OPEB liability/(asset) calculated using the current healthcare cost trend rate, as well as what the net OPEB liability/(asset) would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

	Healthcare Cost		
	1% Decrease	Trend Rate	1% Increase
	(4.00% Part A and	(5.00% Part A and	(6.00% Part A and
	5.50% Part B)	6.50% Part B)	7.50% Part B)
Net OPEB Liability/(Asset)	\$ 466,459	\$ 503,523	\$ 544,902

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 11 – FUND BALANCES

Fund balances are composed of the following elements:

	General Fund	Child Development Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Nonspendable					
Revolving cash	\$ 50,900	\$ -	\$ -	\$ 1,450	\$ 52,350
Inventory	188,036	-	-	191,400	379,436
Prepaid expenses	2,033,476	-	34,002	27,994	2,095,472
Total nonspendable	2,272,412	-	34,002	220,844	2,527,258
Restricted					
Educational programs	55,981,447	1,294,254	-	202,379	57,478,080
Debt service	-	-	-	7,030,847	7,030,847
Capital projects	5,348,669	-	33,641,024	116,342,217	155,331,910
Child nutrition	924,297	-	-	7,251,622	8,175,919
Student activity funds	-	-	-	484,837	484,837
Other restrictions	11,432,182	-	-	-	11,432,182
Total restricted	73,686,595	1,294,254	33,641,024	131,311,902	239,933,775
Committed					
Other commitments	26,784,104	-	-	-	26,784,104
Total committed	26,784,104	-	-	-	26,784,104
Assigned					
Advance placement	3,309,442	-	-	-	3,309,442
Schools facility use funds	1,709,297	-	-	-	1,709,297
SEIU professional growth	21,033,733	-	-	-	21,033,733
CSEA professional growth	-	-	-	202,222	202,222
Mandated costs site allocation	-	591,941	-	-	591,941
Medi-Cal administrative activities	-	-	-	2,163,957	2,163,957
Other assignments	-	-	-	3	3
Total assigned	26,052,472	591,941	-	2,366,182	29,010,595
Unassigned					
Reserve for economic uncertainties	12,682,294	-	-	-	12,682,294
Remaining unassigned	23,609,487	-	-	-	23,609,487
Total unassigned	36,291,781	-	-	-	36,291,781
Total Fund Balances	\$ 165,087,364	\$ 1,886,195	\$ 33,675,026	\$ 133,898,928	\$ 334,547,513

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 12 – RISK MANAGEMENT

Description

The District's risk management activities are recorded in the General and Self-Insurance Funds. Employee life, health, vision, dental, disability, and workers' compensation programs are administered by the District. The District is exposed to various risks of loss related to torts; theft, damage and destruction of assets; errors and omissions; injuries to employees; life and health of employees; and natural disasters. The District participates in the Southern California Regional Excess Fund (SCR) Joint Powers Authority for the property and liability programs. SCR provides 'excess' property and liability coverage through a combination of self-insurance and transferred mechanisms, mainly reinsurance. Property coverage is provided with a pool limit of \$500,250,000, with a member -retained limit of \$150,000 per occurrence for first-party claims. Liability coverage is provided with a pool limit of \$50,000,000, with a member-retained limit of \$25,000 per occurrence. The District is self-insured for the Workers' Compensation program and purchases excess insurance for claims over \$750,000.

Claims Liability

The District records an estimated liability for indemnity torts and other claims against the District. Claims liabilities are based on estimates of the ultimate cost of reported claims (including future claim adjustment expenses) and an estimate for claims incurred, but not reported based on historical experience.

The fund establishes a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities in the Internal Service Fund for the District from July 1, 2023 to June 30, 2025:

	Workers'
	Compensation
Claims Liability, July 1, 2023	\$ 9,242,901
Claims and changes in estimates	1,983,634
Claim payments	<u>(2,838,273)</u>
Claims Liability, June 30, 2024	8,388,262
Claims and changes in estimates	2,186,413
Claim payments	<u>(1,918,730)</u>
Claims Liability, June 30, 2025	<u>\$ 8,655,945</u>
Asset available to pay claims at June 30, 2025	<u>\$ 19,033,291</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2025, the District reported its proportionate share of net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Collective Net Pension Liability	Collective Deferred Outflows of Resources	Collective Deferred Inflows of Resources	Collective Pension Expense
CalSTRS	\$ 86,971,479	\$ 27,628,780	\$ 14,136,124	\$ 6,691,057
CalPERS	70,170,341	22,990,865	5,669,510	10,606,796
Total	<u>\$ 157,141,820</u>	<u>\$ 50,619,645</u>	<u>\$ 19,805,634</u>	<u>\$ 17,297,853</u>

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the CalSTRS. STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2023 annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/memberpublications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California State Teachers’ Retirement System (CalSTRS), continued

Benefits Provided, continued

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and non-employer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

The STRP provisions and benefits in effect at June 30, 2025, are summarized as follows:

	STRP Defined Benefit Plan	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	10.25%	10.21%
Required employer contribution rate	19.10%	19.10%
Required state contribution rate	10.83%	10.83%

Contributions

The parameters for employer and state contribution rates for the DB Program are set by the California Legislature and the Governor and detailed in the Teachers’ Retirement Law. Current contribution rates were established by California Assembly Bill 1469 (CalSTRS Funding Plan), which was passed into law in June 2014 and established a schedule of contribution rate increases shared among members, employers and the state to bring CalSTRS toward full funding by 2046. The contribution rates for each plan for the year ended June 30, 2025, are presented above, and the District’s total contributions were \$16,077,911.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California State Teachers’ Retirement System (CalSTRS), continued

Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2025, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the net pension liability	\$ 86,971,479
State's proportionate share of the net pension liability associated with the District	39,903,427
Total	<u>\$ 126,874,906</u>

The net pension liability was measured as of June 30, 2024. The District’s proportion of the net pension liability was based on a projection of the District’s long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District’s proportionate share for the measurement period June 30, 2024 and June 30, 2023, respectively was 0.129 percent and 0.128 percent, resulting in an increase of 0.001 percent in the proportionate share.

For the year ended June 30, 2025, the District recognized pension expense of \$6,691,057. In addition, the District recognized pension expense and revenue of \$3,641,738 for support provided by the State. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between projected and actual earnings on plan investments	\$ -	\$ 355,330
Differences between expected and actual experience	9,838,705	3,805,619
Changes in assumptions	380,710	5,939,298
Net changes in proportionate share of net pension liability	1,331,454	4,035,877
District contributions subsequent to the measurement date	16,077,911	-
Total	<u>\$ 27,628,780</u>	<u>\$ 14,136,124</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California State Teachers’ Retirement System (CalSTRS), continued

Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions, continued

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	Deferred Outflows/(Inflows) of Resources
2026	\$ (7,481,832)
2027	5,714,111
2028	(896,773)
2029	(359,372)
2030	865,199
Thereafter	(426,588)
Total	<u>\$ (2,585,255)</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total pension liability to June 30, 2024. The financial reporting actuarial valuation as of June 30, 2023, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2023
Measurement date	June 30, 2024
Experience study	July 1, 2007, through June 30, 2022
Actuarial cost method	Entry age normal
Investment rate of return / discount rate	7.10%
Consumer price inflation	2.75%
Wage growth	3.50%
Payroll growth	3.25%
Postretirement benefit increases	2.00%

CalSTRS uses a generational mortality assumption, which is based off generational mortality tables that reflect expected future improvements in mortality and includes a base table and a projection table. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among our members. The projection table reflects the expected annual reduction in mortality rates at each age. The current mortality assumption uses a base year of 2023, and projected improvement is based on the MP-2021 Ultimate Projection Scale.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California State Teachers’ Retirement System (CalSTRS), continued

Actuarial Methods and Assumptions, continued

The long-term investment rate of return assumption was determined using a building-block method in which best-estimate ranges of expected future real rates of return are developed for each major asset class/strategy. Expected real rates of return are net of our 2.75% inflation assumption and are derived from best-estimate ranges of 20- to 30-year geometrically linked expected returns. These best-estimate ranges were developed using capital market assumptions from CalSTRS investment staff and investment consultants as inputs to the process.

The actuarial investment rate of return assumption was adopted by the board in January 2024 in conjunction with the most recent experience study. For each current and future valuation, CalSTRS’ independent consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. The assumed asset allocation and best estimates of the expected rates of return for each major asset class/strategy as of June 30, 2024, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-term Expected Rate of Return*	Long-term Expected Real Rate of
Public Equity	38%	8.00%	5.25%
Real Estate	15%	6.80%	4.05%
Private Equity	14%	9.50%	6.75%
Fixed Income	14%	5.20%	2.45%
Risk Mitigating Strategies	10%	5.00%	2.25%
Inflation Sensitive	7%	6.40%	3.65%
Cash/Liquidity	2%	2.80%	0.05%
Total	100%		

*20- to 30-year geometric average.

**Real rates of return are net of assumed 2.75% inflation.

Discount Rate

The discount rate used to measure the total pension liability was 7.10 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP’s fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California State Teachers’ Retirement System (CalSTRS), continued

Discount Rate, continued

The following presents the District’s proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

	1% Decrease (6.10%)	Current Discount Rate (7.10%)	1% Increase (8.10%)
Plan's net pension liability	\$ 154,693,802	\$ 86,971,479	\$ 30,420,529

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the CalPERS, a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees’ Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2023 annual actuarial valuation report, Schools Pool Actuarial Valuation. This report and CalPERS audited financial information are publicly available reports that can be found on the CalPERS website under Forms and Publications at: <https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member’s final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 55 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 62 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member’s beneficiary if the member dies while actively employed. An employee’s eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost-of-living adjustments for each plan are applied as specified by the Public Employees’ Retirement Law.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California Public Employees Retirement System (CalPERS), continued

Benefits Provided, continued

The CalPERS provisions and benefits in effect at June 30, 2025, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before	On or after
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.00%	7.00%
Required employer contribution rate	27.05%	27.05%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2025, are presented above and the total District contributions were \$11,027,548.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

As of June 30, 2025, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$70,170,341. The net pension liability was measured as of June 30, 2024. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2024 and June 30, 2023, respectively was 0.196 percent and 0.189 percent, resulting in an increase in the proportionate share of 0.007 percent.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California Public Employees Retirement System (CalPERS), continued

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

For the year ended June 30, 2025, the District recognized pension expense of \$10,606,796. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between projected and actual earnings on plan investments	\$ 2,725,711	\$ -
Differences between expected and actual experience	5,882,757	502,207
Changes in assumptions	1,551,001	-
Net changes in proportionate share of net pension liability	1,803,848	5,167,303
District contributions subsequent to the measurement date	11,027,548	-
Total	<u>\$ 22,990,865</u>	<u>\$ 5,669,510</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	Deferred Outflows/(Inflows) of Resources
2026	\$ 1,869,428
2027	4,898,280
2028	(50,377)
2029	(423,524)
Total	<u>\$ 6,293,807</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California Public Employees Retirement System (CalPERS), continued

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total pension liability to June 30, 2024. The financial reporting actuarial valuation as of June 30, 2023, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2023
Measurement date	June 30, 2024
Experience study	July 1, 1997, through June 30, 2015
Actuarial cost method	Entry age normal
Investment rate of return / discount rate	6.90%
Consumer price inflation	2.30%
Wage growth	Varies by entry age and service

The mortality table was developed based on CalPERS-specific data. The rates incorporate Generational Mortality to capture ongoing mortality improvement using 80% of Scale MP 2020 published by the Society of Actuaries.

In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated and, combined with risk estimates, are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class*	Assumed Asset Allocation	Real Return Years 1 - 10**
Global Equity - Cap-weighted	30%	4.54%
Global Equity - Non-cap-weighted	12%	3.84%
Private Equity	13%	7.28%
Treasury	5%	0.27%
Mortgage-backed Securities	5%	0.50%
Investment Grade Corporates	10%	1.56%
High Yield	5%	2.27%
Emerging Market Debt	5%	2.48%
Private Debt	5%	3.57%
Real Assets	15%	3.21%
Leverage	-5%	-0.59%
Total	100%	

*An expected inflation of 2.30% used for this period.

**Figures are based on the 2021-22 Asset Liability Management study.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13 – EMPLOYEE RETIREMENT SYSTEMS, continued

California Public Employees Retirement System (CalPERS), continued

Discount Rate

The discount rate used to measure the total pension liability was 6.90 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District’s proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

	1% Decrease (5.90%)	Current Discount Rate (6.90%)	1% Increase (7.90%)
Plan's net pension liability	\$ 104,238,628	\$ 70,170,341	\$ 42,027,226

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$8,057,218. Contributions are no longer appropriated in the annual Budget Act for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements.

NOTE 14 – COMMITMENTS AND CONTINGENCIES

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2025.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2025.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 14 – COMMITMENTS AND CONTINGENCIES, continued

Construction Commitments

As of June 30, 2025, the District had committed under various capital expenditure purchase agreements for various projects to be funded through general obligation bonds amounted to \$29,483,230.

NOTE 15 – PARTICIPATION IN JOINT POWERS AUTHORITIES

The District is a member of the Southern California Relief (SCR) and the Schools' Excess Liability Fund (SELF). The District pays an annual premium to the entity for its health, workers' compensation, and property liability coverage. The relationship between the District and the entity is such that it is not a component unit of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

During the year ended June 30, 2025, the District made payments of \$1,403,783 and \$458,836 to SCR and SELF, respectively.

NOTE 16 – PRIOR PERIOD ADJUSTMENTS

Beginning net position/fund balance was restated as follows:

	Governmental	
	Activities	General Fund
Beginning Net Position/Fund Balance - previously reported at June 30, 2024	\$ 12,850,612	\$ 160,557,356
Prior Period Adjustments:		
Correction to early retirement incentive	(1,632,093)	-
Change in accounting principle (GASB 101)	(10,318,501)	-
Error correction to accounts receivable	(768,864)	(768,864)
Total Prior Period Adjustments	(12,719,458)	(768,864)
Beginning Net Position/Fund Balance - as restated at June 30, 2024	\$ 131,154	\$ 159,788,492

NOTE 17 – SUBSEQUENT EVENTS

The District evaluated subsequent events from June 30, 2025 through December 29, 2025, the date the financial statements were issued. The District concluded that no subsequent events have occurred that would require recognition or disclosure in the financial statements.

REQUIRED SUPPLEMENTARY INFORMATION

**LYNWOOD UNIFIED SCHOOL DISTRICT
GENERAL FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED JUNE 30, 2025**

	Budgeted Amounts		Actual	Variances -
	Original	Final	(Budgetary Basis)	Final to Actual
REVENUES				
LCFF sources	\$ 179,858,172	\$ 179,600,394	\$ 180,235,039	\$ 634,645
Federal sources	18,608,936	25,680,658	26,629,371	948,713
Other state sources	45,262,677	48,376,298	38,159,498	(10,216,800)
Other local sources	4,861,216	8,071,411	15,430,801	7,359,390
Total Revenues	248,591,001	261,728,761	260,454,709	(1,274,052)
EXPENDITURES				
Certificated salaries	85,400,502	82,425,973	82,897,547	(471,574)
Classified salaries	42,414,811	40,238,662	40,512,824	(274,162)
Employee benefits	56,883,163	46,862,370	62,487,644	(15,625,274)
Books and supplies	29,539,079	11,934,397	10,516,644	1,417,753
Services and other operating expenditures	56,658,344	61,692,726	54,408,611	7,284,115
Capital outlay	1,300,488	2,961,263	5,060,929	(2,099,666)
Other outgo				
Excluding transfers of indirect costs	1,403,181	1,456,957	1,428,935	28,022
Transfers of indirect costs	(198,078)	(480,721)	(465,405)	(15,316)
Total Expenditures	273,401,490	247,091,627	256,847,729	(9,756,102)
Excess/(Deficiency) of Revenues				
Over Expenditures	(24,810,489)	14,637,134	3,606,980	(11,030,154)
OTHER FINANCING SOURCES/(USES)				
Other sources	-	-	2,151,754	2,151,754
Transfers out	(537,082)	(546,622)	(459,862)	86,760
Other Financing Sources/(Uses), Net	(537,082)	(546,622)	1,691,892	2,238,514
NET CHANGES IN FUND BALANCES	(25,347,571)	14,090,512	5,298,872	(8,791,640)
FUND BALANCES - BEGINNING	160,557,356	160,557,356	160,557,356	-
PRIOR PERIOD ADJUSTMENTS (NOTE 16)	(768,864)	(768,864)	(768,864)	-
FUND BALANCES - ENDING	\$ 134,440,921	\$ 173,879,004	\$ 165,087,364	\$ (8,791,640)

**LYNWOOD UNIFIED SCHOOL DISTRICT
CHILD DEVELOPMENT FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED JUNE 30, 2025**

	Budgeted Amounts		Actual (Budgetary Basis)	Variances - Final to Actual
	Original	Final		
REVENUES				
Other state sources	\$ 2,561,020	\$ 6,159,780	\$ 2,815,987	\$ (3,343,793)
Other local sources	102,419	102,419	477,068	374,649
Total Revenues	2,663,439	6,262,199	3,293,055	(2,969,144)
EXPENDITURES				
Certificated salaries	443,818	484,352	497,726	(13,374)
Classified salaries	1,100,752	968,616	960,727	7,889
Employee benefits	939,819	851,598	850,084	1,514
Books and supplies	3,500,504	154,681	146,727	7,954
Services and other operating expenditures	250,000	103,234	100,036	3,198
Capital outlay	50,000	49,283	60,066	(10,783)
Other outgo				
Transfers of indirect costs	916	210,171	209,577	594
Total Expenditures	6,285,809	2,821,935	2,824,943	(3,008)
Excess/(Deficiency) of Revenues Over Expenditures	(3,622,370)	3,440,264	468,112	(2,972,152)
NET CHANGES IN FUND BALANCES	(3,622,370)	3,440,264	468,112	(2,972,152)
FUND BALANCES - BEGINNING	1,418,083	1,418,083	1,418,083	-
FUND BALANCES - ENDING	\$ (2,204,287)	\$ 4,858,347	\$ 1,886,195	\$ (2,972,152)

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE NET OPEB LIABILITY/(ASSET) AND RELATED RATIOS
FOR THE YEAR ENDED JUNE 30, 2025

	2025	2024	2023	2022
Total OPEB liability				
Service cost	\$ 2,173,774	\$ 1,719,562	\$ 1,472,183	\$ 1,524,965
Interest	1,502,294	1,501,031	1,186,271	610,899
Difference between expected and actual experience	(432,589)	(4,688,651)	28,062	660,427
Changes of assumptions	(1,169,676)	63,418	(94,239)	(3,901,072)
Benefit payments	(1,534,412)	(1,315,763)	(984,927)	(1,315,843)
Net change in total OPEB liability	(6,818,415)	(1,006,775)	7,256,720	995,236
Total OPEB liability, beginning of year	34,269,475	35,276,250	28,019,530	27,024,294
Total OPEB liability, end of year (a)	\$ 27,451,060	\$ 34,269,475	\$ 35,276,250	\$ 28,019,530
Plan fiduciary net position				
Employer contributions	\$ 1,534,412	\$ 1,315,763	\$ 984,927	\$ 1,315,843
Benefit payments	(1,534,412)	(1,315,763)	(984,927)	(1,315,843)
Change in plan fiduciary net position	-	-	-	-
Fiduciary trust net position, beginning of year	-	-	-	-
Fiduciary trust net position, end of year (b)	\$ -	\$ -	\$ -	\$ -
Net OPEB liability/(asset), ending (a) - (b)	\$ 27,451,060	\$ 34,269,475	\$ 35,276,250	\$ 28,019,530
Covered payroll*	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total OPEB liability*	N/A	N/A	N/A	N/A
Net OPEB liability/(asset) as a percentage of covered payroll*	N/A	N/A	N/A	N/A
Measurement Date	June 30, 2025	June 30, 2024	June 30, 2023	June 30, 2022

* The OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE NET OPEB LIABILITY/(ASSET) AND RELATED RATIOS
FOR THE YEAR ENDED JUNE 30, 2025

	2021	2020	2019	2018
Total OPEB liability				
Service cost	\$ 1,382,117	\$ 1,531,173	\$ 1,404,848	\$ 1,381,363
Interest	703,499	910,483	937,895	872,138
Difference between expected and actual experience	(315,152)	(4,211,100)	-	-
Changes of assumptions	826,633	692,532	711,572	(197,633)
Benefit payments	(1,267,684)	(1,193,248)	(962,854)	(904,088)
Net change in total OPEB liability	1,329,413	(2,270,160)	2,091,461	1,151,780
Total OPEB liability, beginning of year	25,694,881	27,965,041	25,873,580	24,721,800
Total OPEB liability, end of year (a)	\$ 27,024,294	\$ 25,694,881	\$ 27,965,041	\$ 25,873,580
Plan fiduciary net position				
Employer contributions	\$ 1,267,684	\$ 1,193,248	\$ 962,854	\$ 904,088
Benefit payments	(1,267,684)	(1,193,248)	(962,854)	(904,088)
Change in plan fiduciary net position	-	-	-	-
Fiduciary trust net position, beginning of year	-	-	-	-
Fiduciary trust net position, end of year (b)	\$ -	\$ -	\$ -	\$ -
Net OPEB liability/(asset), ending (a) - (b)	\$ 27,024,294	\$ 25,694,881	\$ 27,965,041	\$ 25,873,580
Covered payroll*	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total OPEB liability*	N/A	N/A	N/A	N/A
Net OPEB liability/(asset) as a percentage of covered payroll*	N/A	N/A	N/A	N/A
Measurement Date	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018

* The OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE PROPORTIONATE SHARE OF THE NET OPEB LIABILITY/(ASSET)
MPP PROGRAM
FOR THE YEAR ENDED JUNE 30, 2025

	June 30, 2025	June 30, 2024	June 30, 2023	June 30, 2022
District's Proportion of the Net OPEB Liability/(Asset)	0.189%	0.190%	0.197%	0.194%
District's Proportionate Share of the Net OPEB Liability/(Asset)	\$ 503,523	\$ 575,355	\$ 648,669	\$ 774,543
District's Covered-Employee Payroll	N/A*	N/A*	N/A*	N/A*
Plan's Proportionate Share of the Net OPEB Liability/(Asset) as a Percentage of its Covered-Employee Payroll	N/A*	N/A*	N/A*	N/A*
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total OPEB Liability	-1.02%	-0.96%	-0.94%	-0.80%
Measurement Date	June 30, 2024	June 30, 2023	June 30, 2022	June 30, 2021

	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018
District's Proportion of the Net OPEB Liability/(Asset)	0.236%	0.233%	0.237%	0.240%
District's Proportionate Share of the Net OPEB Liability/(Asset)	\$ 1,000,503	\$ 867,876	\$ 906,040	\$ 1,007,938
District's Covered-Employee Payroll	N/A*	N/A*	N/A*	N/A*
Plan's Proportionate Share of the Net OPEB Liability/(Asset) as a Percentage of its Covered-Employee Payroll	N/A*	N/A*	N/A*	N/A*
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total OPEB Liability	-0.71%	-0.81%	-0.40%	0.01%
Measurement Date	June 30, 2024	June 30, 2023	June 30, 2022	June 30, 2021

*As of June 30, 2012, active members are no longer eligible for future enrollment in the MPP Program; therefore, the covered payroll disclosure is not applicable.

Note: In the future, as data becomes available, ten years of information will be presented.

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
FOR THE YEAR ENDED JUNE 30, 2025

	Reporting Fiscal Year (Measurement Date)				
	2025 (2024)	2024 (2023)	2023 (2022)	2022 (2021)	2021 (2020)
CalSTRS					
District's proportion of the net pension liability	0.129%	0.128%	0.131%	0.129%	0.136%
District's proportionate share of the net pension liability	\$ 86,971,479	\$ 97,632,410	\$ 91,171,807	\$ 58,789,907	\$ 131,303,140
State's proportionate share of the net pension liability associated with the District	39,903,427	46,779,279	45,658,485	29,580,801	67,686,784
Total	\$ 126,874,906	\$ 144,411,689	\$ 136,830,292	\$ 88,370,708	\$ 198,989,924
District's covered-employee payroll	\$ 81,501,262	\$ 80,722,832	\$ 79,976,643	\$ 72,167,344	\$ 75,216,158
District's proportionate share of the net pension liability as percentage of covered-employee payroll	107%	121%	114%	81%	175%
Plan fiduciary net position as a percentage of the total pension liability	84%	81%	81%	87%	72%
	Reporting Fiscal Year (Measurement Date)				
	2025 (2024)	2024 (2023)	2023 (2022)	2022 (2021)	2021 (2020)
CalPERS					
District's proportion of the net pension liability	0.196%	0.189%	0.211%	0.228%	0.227%
District's proportionate share of the net pension liability	\$ 70,170,341	\$ 68,324,194	\$ 72,666,249	\$ 46,351,085	\$ 69,786,079
District's covered-employee payroll	\$ 38,439,846	\$ 34,710,331	\$ 34,772,959	\$ 32,921,111	\$ 32,908,204
District's proportionate share of the net pension liability as percentage of covered-employee payroll	183%	197%	209%	141%	212%
Plan fiduciary net position as a percentage of the total pension liability	72%	70%	70%	81%	70%

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
FOR THE YEAR ENDED JUNE 30, 2025

	Reporting Fiscal Year (Measurement Date)				
	2020 (2019)	2019 (2018)	2018 (2017)	2017 (2016)	2016 (2015)
CalSTRS					
District's proportion of the net pension liability	0.132%	0.132%	0.132%	0.142%	0.138%
District's proportionate share of the net pension liability	\$ 118,983,098	\$ 121,204,872	\$ 122,382,715	\$ 114,536,169	\$ 92,696,235
State's proportionate share of the net pension liability associated with the District	64,913,223	69,395,458	72,400,580	65,203,398	49,026,090
Total	\$ 183,896,321	\$ 190,600,330	\$ 194,783,295	\$ 179,739,567	\$ 141,722,325
District's covered-employee payroll	\$ 73,172,039	\$ 69,783,396	\$ 70,348,935	\$ 69,993,271	\$ 67,244,955
District's proportionate share of the net pension liability as percentage of covered-employee payroll	163%	174%	174%	164%	138%
Plan fiduciary net position as a percentage of the total pension liability	73%	71%	69%	70%	74%

	Reporting Fiscal Year (Measurement Date)				
	2020 (2019)	2019 (2018)	2018 (2017)	2017 (2016)	2016 (2015)
CalPERS					
District's proportion of the net pension liability	0.223%	0.222%	0.223%	0.237%	0.224%
District's proportionate share of the net pension liability	\$ 64,854,270	\$ 59,085,038	\$ 53,234,498	\$ 46,821,724	\$ 32,971,588
District's covered-employee payroll	\$ 30,830,943	\$ 29,806,831	\$ 30,780,069	\$ 28,090,073	\$ 24,390,825
District's proportionate share of the net pension liability as percentage of covered-employee payroll	210%	198%	173%	167%	135%
Plan fiduciary net position as a percentage of the total pension liability	70%	71%	72%	74%	79%

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CONTRIBUTIONS - PENSIONS
FOR THE YEAR ENDED JUNE 30, 2025

CalSTRS	Reporting Fiscal Year				
	2025	2024	2023	2022	2021
Statutorily required contribution	\$ 16,077,911	\$ 15,566,741	\$ 15,418,061	\$ 13,532,048	\$ 11,655,026
District's contributions in relation to the statutorily required contribution	16,077,911	15,566,741	15,418,061	13,532,048	11,655,026
District's contribution deficiency/(excess)	\$ -	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 84,177,545	\$ 81,501,262	\$ 80,722,832	\$ 79,976,643	\$ 72,167,344
District's contributions as a percentage of covered-employee payroll	19.10%	19.10%	19.10%	16.92%	16.15%

CalPERS	Reporting Fiscal Year				
	2025	2024	2023	2022	2021
Statutorily required contribution	\$ 11,027,548	\$ 10,255,751	\$ 8,806,011	\$ 7,966,485	\$ 6,814,670
District's contributions in relation to the statutorily required contribution	11,027,548	10,255,751	8,806,011	7,966,485	6,814,670
District's contribution deficiency/(excess)	\$ -	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 40,767,275	\$ 38,439,846	\$ 34,710,331	\$ 34,772,959	\$ 32,921,111
District's contributions as a percentage of covered-employee payroll	27.05%	26.68%	25.37%	22.91%	20.70%

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CONTRIBUTIONS - PENSIONS
FOR THE YEAR ENDED JUNE 30, 2025

CalSTRS	Reporting Fiscal Year				
	2020	2019	2018	2017	2016
Statutorily required contribution	\$ 12,861,963	\$ 11,912,408	\$ 10,069,744	\$ 8,849,896	\$ 7,510,278
District's contributions in relation to the statutorily required contribution	12,861,963	11,912,408	10,069,744	8,849,896	7,510,278
District's contribution deficiency/(excess)	\$ -	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 75,216,158	\$ 73,172,039	\$ 69,783,396	\$ 70,348,935	\$ 69,993,271
District's contributions as a percentage of covered-employee payroll	17.10%	16.28%	14.43%	12.58%	10.73%
CalPERS	Reporting Fiscal Year				
	2020	2019	2018	2017	2016
Statutorily required contribution	\$ 6,489,827	\$ 5,568,685	\$ 4,629,299	\$ 4,274,736	\$ 3,327,831
District's contributions in relation to the statutorily required contribution	6,489,827	5,568,685	4,629,299	4,274,736	3,327,831
District's contribution deficiency/(excess)	\$ -	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 32,908,204	\$ 30,830,943	\$ 29,806,831	\$ 30,780,069	\$ 28,090,073
District's contributions as a percentage of covered-employee payroll	19.72%	18.06%	15.53%	13.89%	11.85%

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
JUNE 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES

Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United State of America as prescribed by the Governmental Accounting Standards Board and provisions of the *California Education Code*. The governing board is required to hold a public hearing and adopt an operating budget no later than July 1 of each year. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of Changes in the Net OPEB Liability/(Asset) and Related Ratios

This schedule presents information on the District's changes in the total OPEB liability, including beginning and ending balances, the plan's fiduciary net position, and the net OPEB liability/(asset). In the future, as data becomes available, ten years of information will be presented.

Changes in Benefit Terms: There were no changes in benefit terms since the previous valuation.

Changes of Assumptions: The discount rate changed from 4.21% to 5.20% since the previous valuation.

Schedule of the Proportionate Share of the Net OPEB Liability/(Asset) - MPP Program

This schedule presents information on the District's proportionate share of the net OPEB liability/(asset) – MPP Program and the plans' fiduciary net position. In the future, as data becomes available, ten years of information will be presented.

Changes in Benefit Terms: There were no changes in benefit terms since the previous valuation.

Changes of Assumptions: The discount rate changed from 3.65% to 3.93% and the healthcare trend cost rates changed from 4.50% to 5.00% for Medicare Part A and from 5.40% to 6.50% for Medicare Part B since the previous valuation.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
JUNE 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES, continued

Schedule of the Proportionate Share of the Net Pension Liability

This schedule presents ten years of information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District.

Changes in Benefit Terms: There were no changes in benefit terms since the previous valuation for CalSTRS. The required employer contribution rate changed from 26.68% to 27.05% since previous valuation for CalPERS.

Changes of Assumptions: Additional factors were considered in the actuarial valuation for CalSTRS namely the payroll growth rate and long-term expected rate of return based on 20- to 30-years geometric average. There were no changes in economic assumptions since previous valuation for CalPERS.

Schedule of Contributions – Pension

This schedule presents ten years of information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution.

NOTE 2 – EXCESS OF EXPENDITURES OVER APPROPRIATIONS

For the year ended June 30, 2025, the District incurred an excess of expenditures over appropriations in individual major funds presented in the Budgetary Comparison Schedule by major object code as follows:

		Expenditures and Other Uses		
		Budget	Actual	Excess
General Fund				
Certificated salaries	\$	82,425,973	\$ 82,897,547	\$ 471,574
Classified salaries	\$	40,238,662	\$ 40,512,824	\$ 274,162
Employee benefits	\$	46,862,370	\$ 62,487,644	\$ 15,625,274
Capital outlay	\$	2,961,263	\$ 5,060,929	\$ 2,099,666
		Expenditures and Other Uses		
		Budget	Actual	Excess
Child Development Fund				
Certificated salaries	\$	484,352	\$ 497,726	\$ 13,374
Capital outlay	\$	49,283	\$ 60,066	\$ 10,783

SUPPLEMENTARY INFORMATION

**LYNWOOD UNIFIED SCHOOL DISTRICT
LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE
FOR THE YEAR ENDED JUNE 30, 2025**

The Lynwood Unified School District (the "District") was established on July 1, 1950, and consists of an area comprising approximately 6.5 square miles. The District operates twelve elementary, two middle schools, two high schools, a continuation high school, an adult regional occupational program, and two child-care centers. There were no boundary changes during the year.

GOVERNING BOARD		
Name	Office	Term Expires
Julian Del Real-Calleros	President	December 2026
Gary Hardie, Jr., Ed.D.	Vice President	December 2028
Alfonso Morales, Esq.	Clerk	December 2026
Alma Carina Castro, Ed.D.	Member	December 2028
Maria G. Lopez	Member	December 2028

ADMINISTRATION

Patrick Gittisriboongul, Ed.D.
Superintendent

Gretchen Janson, Ed.D.
*Associate Superintendent
Business Services*

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2025

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Assistance Listing Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Agriculture			
<i>Passed Through California Department of Education</i>			
Child Nutrition Cluster:			
National School Lunch Program	10.555	13523	\$ 5,032,402
School Breakfast Program	10.553	13525	8,591
School Breakfast Needy	10.553	13526	770,592
National School Lunch Program - Meal Supplements	10.555	13755	15,801
Supply Chain Assistance (SCA) Funds	10.555	15655	235,618
Total Child Nutrition Cluster			6,063,004
<i>Passed Through California Department of Social Services</i>			
Child Nutrition: CACFP Claims - Centers and Family Day Care	10.558	13393	1,131,708
Total U.S. Department of Agriculture			7,194,712
U.S. Department of Education			
<i>Passed Through Mid-Cities Special Education Local Plan Area</i>			
Special Education IDEA Cluster:			
IDEA Basic Local Assistance Entitlement, Part B, Section 611	84.027	13379	3,019,991
IDEA Mental Health Allocation Plan, Part B, Sec 611	84.027A	15197	130,448
IDEA Preschool Grants, Part B, Sec 619	84.173	13430	64,297
IDEA Preschool Staff Development, Part B, Sec 619	84.173A	13431	536
IDEA Quality Assurance & Focused Monitoring	84.027A	13693	22,631
Total Special Education IDEA Cluster			3,237,903
<i>Passed Through California Department of Education</i>			
Education Stabilization Funds:			
Elementary and Secondary School Emergency Relief III (ESSER III) Fund	84.425	15559	4,219,392
Elementary and Secondary School Emergency Relief III (ESSER III) Fund: Learning Loss	84.425U	10155	3,280,936
Expanded Learning Opportunities (ELO) Grant: GEER II	84.425C	15619	11,162
Expanded Learning Opportunities (ELO) Grant: ESSER III State Reserve Emergency Needs	84.425U	15620	12,325
Total Education Stabilization Funds			7,523,815
Title I Cluster:			
Title I, Part A, Basic Grants Low-Income and Neglected	84.010	14329	8,891,043
ESSA School Improvement (CSI) Funding for LEAs	84.010	15438	148,878
Total Title I Cluster			9,039,921
Adult Education Cluster:			
Adult Basic Education & ELA	84.002A	14508	119,911
Adult Secondary Education	84.002	13978	76,672
Total Adult Education Cluster			196,583
Migrant Education Cluster:			
Title I, Part C, Migrant Ed (Regular and Summer Program)	84.011	14326	118,118
Title II, Migrant Ed Summer Program	84.011	10005	22,246
Total Migrant Education Cluster			140,364
Career and Technical Education Cluster:			
Carl D. Perkins Career and Technical Education: Secondary, Section 131	84.048	14894	146,746
Carl D. Perkins Career and Technical Education: Adult, Section 132	84.048	14893	2,023
Career and Technical Education Cluster			148,769
Title III, English Learner Student Program	84.365	14346	477,313
IDEA Early Intervention Grants, Part C	84.181	23761	41,716
Title II, Part A, Supporting Effective Instruction	84.367	14341	2,291,760
Title IV, Part B, 21st Century Community Learning Centers Program	84.287	14349	1,528,942
Title IX, Part A, McKinney-Vento Homeless Assistance Grants	84.196	14332	54,060
Total U.S. Department of Education			24,681,146
U.S. Department of Health and Human Services			
<i>Passed Through California Department of Education</i>			
Medi-Cal Billing Option	93.778	10013	147,623
Total U.S. Department of Health and Human Services			147,623
Total Federal Financial Assistance			\$ 32,023,481

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE
FOR THE YEAR ENDED JUNE 30, 2025

	Second Period Report	Audit Adjustments	Revised Second Period Report	Annual Report	Audit Adjustments	Revised Annual Report
	Certification No. BF4A03D9		Certification No. *	Certification No. F6140466		Certification No. *
Regular ADA						
Transitional Kindergarten through Third	2,841.78	-	2,841.78	2,843.22	-	2,843.22
Fourth through Sixth	2,194.08	(1.97)	2,192.11	2,187.58	(1.43)	2,186.15
Seventh and Eighth	1,498.86	(3.66)	1,495.20	1,496.88	(2.66)	1,494.22
Ninth through Twelfth	3,312.69	(7.39)	3,305.30	3,328.08	(5.38)	3,322.70
Total Regular ADA	9,847.41	(13.02)	9,834.39	9,855.76	(9.47)	9,846.29
Extended Year Special Education						
Transitional Kindergarten through Third	-	-	-	-	-	-
Fourth through Sixth	-	-	-	-	-	-
Seventh and Eighth	-	-	-	-	-	-
Ninth through Twelfth	-	-	-	-	-	-
Total Extended Year Special Education	-	-	-	-	-	-
Special Education, Nonpublic, Nonsectarian Schools						
Transitional Kindergarten through Third	4.69	-	4.69	7.38	-	7.38
Fourth through Sixth	3.52	-	3.52	6.79	-	6.79
Seventh and Eighth	4.31	-	4.31	7.63	-	7.63
Ninth through Twelfth	10.06	-	10.06	16.84	-	16.84
Total Special Education, Nonpublic, Nonsectarian Schools	22.58	-	22.58	38.64	-	38.64
Extended Year Special Education - Nonpublic						
Transitional Kindergarten through Third	1.09	-	1.09	1.09	-	1.09
Fourth through Sixth	1.11	-	1.11	1.11	-	1.11
Seventh and Eighth	0.57	-	0.57	0.57	-	0.57
Ninth through Twelfth	2.12	-	2.12	2.12	-	2.12
Total Extended Year Special Education - Nonpublic	4.89	-	4.89	4.89	-	4.89
ADA Totals	9,874.88	(13.02)	9,861.86	9,899.29	(9.47)	9,889.82

* The District has not revised P-2 or annual to include the audit findings reported.

**LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
FOR THE YEAR ENDED JUNE 30, 2025**

Grade Level	Minutes Requirement	Actual Minutes	Number of Days		Status
			Traditional Calendar		
			Actual Day Offered	Multitrack Calendar	
Kindergarten	36,000	37,860	180	N/A	Complied
Grade 1	50,400	53,025	180	N/A	Complied
Grade 2	50,400	53,550	180	N/A	Complied
Grade 3	50,400	53,550	180	N/A	Complied
Grade 4	54,000	54,075	180	N/A	Complied
Grade 5	54,000	54,075	180	N/A	Complied
Grade 6	54,000	54,075	180	N/A	Complied
Grade 7	54,000	55,841	180	N/A	Complied
Grade 8	54,000	55,841	180	N/A	Complied
Grade 9	64,800	64,800	180	N/A	Complied
Grade 10	64,800	64,800	180	N/A	Complied
Grade 11	64,800	64,800	180	N/A	Complied
Grade 12	64,800	64,800	180	N/A	Complied

LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2025

	2026 (Budget)	2025	2024	2023
General Fund - Budgetary Basis				
Revenues and Other Financing Sources	\$ 242,598,809	\$ 262,606,463	\$ 288,174,973	\$ 286,618,157
Expenditures and Other Financing Uses	267,351,763	257,307,591	245,633,659	238,230,359
Net Change in Fund Balances	(24,752,954)	5,298,872	42,541,314	48,387,798
Prior Period Adjustments (Note 16)	-	(768,864)	-	-
Ending Fund Balances	\$ 140,334,410	\$ 165,087,364	\$ 160,557,356	\$ 118,016,042
Available Reserves*	\$ 29,200,480	\$ 36,291,781	\$ 72,453,017	\$ 32,319,186
Available Reserves as a Percentage of Outgo	10.9%	14.1%	29.5%	13.6%
Long-term Debt	\$ 361,778,253	\$ 375,246,642	\$ 382,942,641	\$ 388,525,816
Average Daily District Attendance at P-2	9,382	9,862	10,316	10,633

The General Fund balance has increased by \$47,071,322 over the past two years. The fiscal year 2025-26 budget projects a decrease of \$24,752,954, or 14.99%. For a district this size, the State recommends available reserves of at least 3% of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating surpluses in the past three years and anticipates incurring an operating deficit during the 2025-26 fiscal year. Total long-term liabilities have decreased by \$13,279,174 over the past two years.

Average daily attendance has decreased by 745 over the past two years. Additional decline of 506 ADA is anticipated during fiscal year 2025-26.

*Available reserves are the unrestricted amounts in the Reserve for Economic Uncertainties, and Unassigned/Unappropriated accounts in the General Fund.

**LYNWOOD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT
WITH AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2025**

	General Fund
June 30, 2025 annual financial and budget report fund balance	\$ 165,387,170
Adjustments and reclassifications	
Increase/(decrease) in total fund balances	
Accounts receivable	(338,071)
Lease receivable	(119,712)
Deferred inflows related to lease receivable	157,977
Adjustments and reclassifications, net	(299,806)
June 30, 2025 audited financial statements fund balance	\$ 165,087,364

**LYNWOOD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHARTER SCHOOLS
FOR THE YEAR ENDED JUNE 30, 2025**

There were no charter schools in the District during fiscal year 2024-25.

**LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR SPECIAL REVENUE FUNDS
COMBINING BALANCE SHEET
JUNE 30, 2025**

	Student Activity Special Revenue Fund	Adult Education Fund	Cafeteria Special Revenue Fund	Deferred Maintenance Fund	Total Non- Major Special Revenue Funds
ASSETS					
Cash and equivalents	\$ 485,240	\$ (598,789)	\$ 5,735,875	\$ 5	\$ 5,622,331
Accounts receivable	93	1,330,382	1,989,341	(2)	3,319,814
Inventory	137,074	-	54,326	-	191,400
Prepaid expenses	-	3,498	-	-	3,498
Other current assets	54	-	-	-	54
Total Assets	\$ 622,461	\$ 735,091	\$ 7,779,542	\$ 3	\$ 9,137,097
LIABILITIES					
Accrued liabilities	\$ -	\$ 326,992	\$ 472,694	\$ -	\$ 799,686
Total Liabilities	-	326,992	472,694	-	799,686
FUND BALANCES					
Nonspendable	137,624	3,498	55,226	-	196,348
Restricted	484,837	202,379	7,251,622	-	7,938,838
Assigned	-	202,222	-	3	202,225
Total Fund Balances	622,461	408,099	7,306,848	3	8,337,411
Total Liabilities and Fund Balances	\$ 622,461	\$ 735,091	\$ 7,779,542	\$ 3	\$ 9,137,097

**LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR SPECIAL REVENUE FUNDS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2025**

	Student Activity Special Revenue Fund	Adult Education Fund	Cafeteria Special Revenue Fund	Deferred Maintenance Fund	Total Non- Major Special Revenue Funds
REVENUES					
Federal sources	\$ -	\$ 198,606	\$ 7,335,821	\$ -	\$ 7,534,427
Other state sources	-	2,466,129	1,715,224	-	4,181,353
Other local sources	976,370	196,485	328,655	-	1,501,510
Total Revenues	976,370	2,861,220	9,379,700	-	13,217,290
EXPENDITURES					
Current					
Instruction	-	2,093,306	-	-	2,093,306
Instruction-related services					
School site administration	-	890,696	-	-	890,696
Pupil services					
Food services	-	-	7,787,362	-	7,787,362
All other pupil services	-	91,051	-	-	91,051
General administration					
All other general administration	-	-	255,829	-	255,829
Plant services	-	211,031	16,767	-	227,798
Ancillary services	971,741	-	-	-	971,741
Total Expenditures	971,741	3,286,084	8,059,958	-	12,317,783
Excess/(Deficiency) of Revenues Over Expenditures	4,629	(424,864)	1,319,742	-	899,507
OTHER FINANCING SOURCES/(USES)					
Transfers in	-	459,862	-	-	459,862
Other Financing Sources/(Uses), Net	-	459,862	-	-	459,862
NET CHANGES IN FUND BALANCES	4,629	34,998	1,319,742	-	1,359,369
FUND BALANCES - BEGINNING	617,832	373,101	5,987,106	3	6,978,042
FUND BALANCES - ENDING	\$ 622,461	\$ 408,099	\$ 7,306,848	\$ 3	\$ 8,337,411

**LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR CAPITAL PROJECTS FUNDS
COMBINING BALANCE SHEET
JUNE 30, 2025**

	Capital Facilities Fund	County School Facilities Fund	Special Reserve for Capital Outlay Projects Fund	Total Non- Major Capital Projects Funds
ASSETS				
Cash and equivalents	\$ 3,032,518	\$ 1,556,117	\$ 116,585,370	\$ 121,174,005
Accounts receivable	27,867	14,469	541,719	584,055
Prepaid expenses	-	-	24,496	24,496
Total Assets	<u>\$ 3,060,385</u>	<u>\$ 1,570,586</u>	<u>\$ 117,151,585</u>	<u>\$ 121,782,556</u>
LIABILITIES				
Accrued liabilities	\$ -	\$ -	\$ 3,251,886	\$ 3,251,886
Total Liabilities	<u>-</u>	<u>-</u>	<u>3,251,886</u>	<u>3,251,886</u>
FUND BALANCES				
Nonspendable	-	-	24,496	24,496
Restricted	1,633,994	1,397,387	113,310,836	116,342,217
Assigned	1,426,391	173,199	564,367	2,163,957
Total Fund Balances	<u>3,060,385</u>	<u>1,570,586</u>	<u>113,899,699</u>	<u>118,530,670</u>
Total Liabilities and Fund Balances	<u>\$ 3,060,385</u>	<u>\$ 1,570,586</u>	<u>\$ 117,151,585</u>	<u>\$ 121,782,556</u>

**LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR CAPITAL PROJECTS FUNDS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2025**

	Capital Facilities Fund	County School Facilities Fund	Special Reserve for Capital Outlay Projects Fund	Total Non- Major Capital Projects Funds
REVENUES				
Other state sources	\$ -	\$ -	\$ 133,874,456	\$ 133,874,456
Other local sources	391,938	78,470	(2,369,344)	(1,898,936)
Total Revenues	391,938	78,470	131,505,112	131,975,520
EXPENDITURES				
Facilities acquisition and maintenance	-	-	17,571,520	17,571,520
Total Expenditures	-	-	17,571,520	17,571,520
Excess/(Deficiency) of Revenues				
Over Expenditures	391,938	78,470	113,933,592	114,404,000
NET CHANGES IN FUND BALANCES	391,938	78,470	113,933,592	114,404,000
FUND BALANCES - BEGINNING	2,668,447	1,492,116	(33,893)	4,126,670
FUND BALANCES - ENDING	\$ 3,060,385	\$ 1,570,586	\$ 113,899,699	\$ 118,530,670

LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR DEBT SERVICE FUNDS
COMBINING BALANCE SHEET
JUNE 30, 2025

	Bond Interest and Redemption Fund	Tax Override Fund	Total Non- Major Debt Service Funds
ASSETS			
Cash and equivalents	\$ 7,024,088	\$ 6,697	\$ 7,030,785
Accounts receivable	-	62	62
Total Assets	<u>\$ 7,024,088</u>	<u>\$ 6,759</u>	<u>\$ 7,030,847</u>
FUND BALANCES			
Restricted	\$ 7,024,088	\$ 6,759	\$ 7,030,847
Total Fund Balances	<u>\$ 7,024,088</u>	<u>\$ 6,759</u>	<u>\$ 7,030,847</u>

LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR DEBT SERVICE FUNDS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2025

	Bond Interest and Redemption Fund	Tax Override Fund	Total Non- Major Debt Service Funds
REVENUES			
Other state sources	\$ 36,642	\$ -	\$ 36,642
Other local sources	7,536,337	338	7,536,675
Total Revenues	7,572,979	338	7,573,317
EXPENDITURES			
Debt service			
Interest and other	4,190,649	-	4,190,649
Redemptions	4,060,000	-	4,060,000
Total Expenditures	8,250,649	-	8,250,649
Excess/(Deficiency) of Revenues			
Over Expenditures	(677,670)	338	(677,332)
NET CHANGES IN FUND BALANCES	(677,670)	338	(677,332)
FUND BALANCES - BEGINNING	7,701,758	6,421	7,708,179
FUND BALANCES - ENDING	\$ 7,024,088	\$ 6,759	\$ 7,030,847

**LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR GOVERNMENTAL FUNDS
COMBINING BALANCE SHEET
JUNE 30, 2025**

	Total Non-Major Special Revenue Funds	Total Non-Major Capital Projects Funds	Total Non-Major Debt Service Funds	Total Non-Major Governmental Funds
ASSETS				
Cash and equivalents	\$ 5,622,331	\$ 121,174,005	\$ 7,030,785	\$ 133,827,121
Accounts receivable	3,319,814	584,055	62	3,903,931
Inventory	191,400	-	-	191,400
Prepaid expenses	3,498	24,496	-	27,994
Other current assets	54	-	-	54
Total Assets	<u>\$ 9,137,097</u>	<u>\$ 121,782,556</u>	<u>\$ 7,030,847</u>	<u>\$ 137,950,500</u>
LIABILITIES				
Accrued liabilities	\$ 799,686	\$ 3,251,886	\$ -	\$ 4,051,572
Total Liabilities	<u>799,686</u>	<u>3,251,886</u>	<u>-</u>	<u>4,051,572</u>
FUND BALANCES				
Nonspendable	196,348	24,496	-	220,844
Restricted	7,938,838	116,342,217	7,030,847	131,311,902
Assigned	202,225	2,163,957	-	2,366,182
Total Fund Balances	<u>8,337,411</u>	<u>118,530,670</u>	<u>7,030,847</u>	<u>133,898,928</u>
Total Liabilities and Fund Balances	<u>\$ 9,137,097</u>	<u>\$ 121,782,556</u>	<u>\$ 7,030,847</u>	<u>\$ 137,950,500</u>

**LYNWOOD UNIFIED SCHOOL DISTRICT
NON-MAJOR GOVERNMENTAL FUNDS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2025**

	Total Non-Major Special Revenue Funds	Total Non-Major Capital Projects Funds	Total Non-Major Debt Service Funds	Total Non-Major Governmental Funds
REVENUES				
Federal sources	\$ 7,534,427	\$ -	\$ -	\$ 7,534,427
Other state sources	4,181,353	133,874,456	36,642	138,092,451
Other local sources	1,501,510	(1,898,936)	7,536,675	7,139,249
Total Revenues	13,217,290	131,975,520	7,573,317	152,766,127
EXPENDITURES				
Current				
Instruction	2,093,306	-	-	2,093,306
Instruction-related services				
School site administration	890,696	-	-	890,696
Pupil services				
Food services	7,787,362	-	-	7,787,362
All other pupil services	91,051	-	-	91,051
General administration				
All other general administration	255,829	-	-	255,829
Plant services	227,798	-	-	227,798
Facilities acquisition and maintenance	-	17,571,520	-	17,571,520
Ancillary services	971,741	-	-	971,741
Debt service				
Interest and other	-	-	4,190,649	4,190,649
Redemptions	-	-	4,060,000	4,060,000
Total Expenditures	12,317,783	17,571,520	8,250,649	38,139,952
Excess/(Deficiency) of Revenues Over Expenditures	899,507	114,404,000	(677,332)	114,626,175
OTHER FINANCING SOURCES/(USES)				
Transfers in	459,862	-	-	459,862
Other Financing Sources/(Uses), Net	459,862	-	-	459,862
NET CHANGES IN FUND BALANCES	1,359,369	114,404,000	(677,332)	115,086,037
FUND BALANCES - BEGINNING	6,978,042	4,126,670	7,708,179	18,812,891
FUND BALANCES - ENDING	\$ 8,337,411	\$ 118,530,670	\$ 7,030,847	\$ 133,898,928

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTE TO SUPPLEMENTARY INFORMATION
JUNE 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Expenditures of Federal Awards

Basis of Presentation: The accompanying schedule of expenditures of federal awards (the Schedule) includes the federal award activity of the District under programs of the federal government for the year ended June 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position/fund balance of the District.

Summary of Significant Accounting Policies: Expenditures reported on the Schedule are reported on the accrual basis of accounting, except for subrecipient expenditures, which are recorded on the cash basis. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Indirect Cost Rate: The District has not elected to use the ten percent de minimis cost rate.

Food Donation: Non-monetary assistance is reported in this schedule at the fair market value of the commodities received and disbursed. At June 30, 2025, the District did not report any commodities in inventory.

Schedule of Average Daily Attendance

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of state funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

This schedule presents information on the number of instructional days offered by the District and whether the District complied with the provisions of *Education Code* Section 43504.

LYNWOOD UNIFIED SCHOOL DISTRICT
NOTE TO SUPPLEMENTARY INFORMATION
JUNE 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES, continued

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the unaudited actual financial report to the audited financial statements.

Schedule of Charter Schools

This schedule lists all Charter Schools chartered by the District and displays information for each Charter School on whether or not the Charter School is included in the District audit.

Combining Statements – Non-Major Governmental Funds

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances are included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.

OTHER INDEPENDENT AUDITORS' REPORTS



INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Governing Board
Lynwood Unified School District
Lynwood, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, fiduciary activities, each major fund, and the aggregate remaining fund information of Lynwood Unified School District (the "District"), as of and for the year ended June 30, 2025, and the related notes to financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated December 29, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit, we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, we identified certain deficiencies in internal control that we considered to be significant deficiencies as described in the accompanying Schedule of Findings and Questioned Costs as Findings #2025-001 and 2025-002.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

The District's Response to the Finding

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the finding identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



San Diego, California
December 29, 2025



INDEPENDENT AUDITORS' REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM; AND REPORT ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE

Governing Board
Lynwood Unified School District
Lynwood, California

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Lynwood Unified School District's (the "District") compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2025. The District's major federal programs are identified in the summary of auditors' results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a Federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a Federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a Federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses or significant deficiencies, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

CWDL, Certified Public Accountants

San Diego, California
December 29, 2025



INDEPENDENT AUDITORS' REPORT ON STATE COMPLIANCE AND ON INTERNAL CONTROL OVER COMPLIANCE FOR STATE PROGRAMS

Governing Board
Lynwood Unified School District
Lynwood, California

Report on State Compliance

Opinion

We have audited Lynwood Unified School District's (the "District") compliance with the requirements specified in the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* applicable to the District's state program requirements identified below for the year ended June 30, 2025.

In our opinion, the District complied, in all material respects, with the laws and regulations of the state programs noted in the table below for the year ended June 30, 2025.

Basis for Opinion

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS), the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above, and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the District's compliance with the requirements described in the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of the state programs as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we consider necessary in the circumstances;
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, but not for the purpose of expressing an opinion on the effectiveness of the District's internal controls over compliance. Accordingly, we express no such opinion; and
- Select and test transactions and records to determine the District's compliance with the state laws and regulations applicable to the following items:

PROGRAM NAME	PROCEDURES PERFORMED
Local Education Agencies Other than Charter Schools:	
A. Attendance	Yes
B. Teacher Certification and Misassignments	Yes
C. RESERVED	Not Applicable
D. Independent Study	Yes
E. Continuation Education	Yes
F. Instructional Time	Yes
G. Instructional Materials	Yes
H. Ratios of Administrative Employees to Teachers	Yes
I. Classroom Teacher Salaries	Yes
J. Early Retirement Incentive	Not Applicable
K. Gann Limit Calculation	Yes

PROGRAM NAME	PROCEDURES PERFORMED
L. School Accountability Report Card	Yes
M. Juvenile Court Schools	Not Applicable
N. Middle or Early College High Schools or Programs	Not Applicable
O. K-3 Grade Span Adjustment	Yes
P. RESERVED	Not Applicable
Q. Apprenticeship: Related and Supplemental Instruction	Not Applicable
R. Comprehensive School Safety Plan	Yes
S. District of Choice	Not Applicable
TT. Home to School Transportation Reimbursement	Yes
School Districts, County Offices of Education, and Charter Schools:	
T. Proposition 28 Arts and Music in Schools	Yes
U. After/Before School Education and Safety Program	Yes
V. Proper Expenditure of Education Protection Account Funds	Yes
W. Unduplicated Local Control Funding Formula Pupil Counts	Yes
X. Local Control and Accountability Plan	Yes
Y. Independent Study-Course Based	Not Applicable
Z. Immunizations	Not Applicable
AZ. Educator Effectiveness	Yes
BZ. Expanded Learning Opportunities Grant (ELO-G)	Not Applicable
CZ. Career Technical Education Incentive Grant	Yes
DZ. Expanded Learning Opportunities Program	Yes
EZ. Transitional Kindergarten	Yes
FZ. Kindergarten Continuance	Yes
Charter Schools:	
AA. Attendance	Not Applicable
BB. Mode of Instruction	Not Applicable
CC. Nonclassroom-Based Instruction/Independent Study	Not Applicable
DD. Determination of Funding for Nonclassroom-Based Instruction	Not Applicable
EE. Annual Instructional Minutes - Classroom Based	Not Applicable
FF. Charter School Facility Grant Program	Not Applicable

The term "Not Applicable" is used above to mean either the District did not offer the program during the current fiscal year or the program applies to a different type of local education agency.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance which are required to be reported in accordance with *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, and which are described in the accompanying Schedule of Findings and Questioned Costs as Findings #2025-003 and 2025-004. Our opinion on each applicable state program is not modified with respect to this matter.

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the noncompliance findings identified in our audit described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that a material noncompliance with a compliance requirement will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention from those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit, we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, we identified significant deficiencies in internal control over compliance, as described in the accompanying Schedule of Findings and Questioned Costs as Findings #2025-003 and 2025-004.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.



San Diego, California
December 29, 2025

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

**LYNWOOD UNIFIED SCHOOL DISTRICT
SUMMARY OF AUDITORS' RESULTS
FOR THE YEAR ENDED JUNE 30, 2025**

FINANCIAL STATEMENTS

Type of auditors' report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(ies) identified?	<u>Yes</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major program:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(ies) identified?	<u>None Reported</u>
Type of auditors' report issued:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Uniform Guidance 2 CFR 200.516(a)?	<u>No</u>
Identification of major programs:	

<u>Assistance Listing Number(s)</u>	<u>Name of Federal Program or Cluster</u>
<u>10.558</u>	<u>Child Nutrition: CACFP Claims</u>
<u>84.010</u>	<u>Title I Cluster</u>
<u>84.367</u>	<u>Title II, Part A, Supporting Effective Instruction</u>
<u>84.287</u>	<u>Title IV, Part B, 21st Century Community Learning Centers Program</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 960,704</u>
Auditee qualified as low-risk auditee?	<u>No</u>

STATE AWARDS

Internal control over state programs:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(ies) identified?	<u>Yes</u>
Type of auditors' report issued on compliance for state programs:	<u>Unmodified</u>

**LYNWOOD UNIFIED SCHOOL DISTRICT
FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2025**

This section identifies the significant deficiencies, material weaknesses, and instances of noncompliance related to the financial statements that are required to be reported in accordance with *Government Auditing Standards*. Pursuant to Assembly Bill (AB) 3627, all audit findings must be identified as one or more of the following categories:

FIVE DIGIT CODE	AB3627 FINDING TYPES
20000	Inventory of Equipment
30000	Internal Control
60000	Miscellaneous

FINDING #2025-001: INTERFUND BORROWING (30000)

Criteria

California Education Code Section 42603 permits school districts to make temporary transfers (interfund borrowing) between funds for payment of obligations. However, the code imposes two key restrictions:

- Amounts transferred shall be repaid to the fund from which they were transferred within the same fiscal year, or
- In any event, shall be repaid no later than 120 calendar days after the date of the transfer.
- Additionally, the governing board must, by resolution, authorize the temporary transfer and the repayment must occur with interest.

Condition

During our audit of the District's funds, we noted that temporary interfund borrowings were not repaid within the 120-day statutory period. Specifically, General Fund had borrowed \$207,783 from Building Fund, and the amount remained unpaid, exceeding the 120-day repayment requirement.

Questioned Costs

\$207,783

Effect

Failure to repay interfund borrowings within 120 days constitutes noncompliance with *Education Code* Section 42603 and could result in the improper use of restricted resources, potential cash flow issues in the lending fund, and misstatement of fund balances.

Cause

The District did not have sufficient cash flow monitoring controls in place to ensure timely repayment of interfund borrowings, and no follow-up review was performed to ensure compliance with the statutory repayment timeline.

Repeat Finding

No

Recommendation

It is recommended that the District strengthen internal controls over cash management and interfund borrowing by implementing periodic monitoring of outstanding interfund borrowings; establishing reminders to ensure repayment within the 120-day statutory period or within the same fiscal year, and; ensuring governing board resolutions are obtained and documented prior to initiating interfund borrowings.

**LYNWOOD UNIFIED SCHOOL DISTRICT
FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2025**

FINDING #2025-001: INTERFUND BORROWING (30000), continued

Views of Responsible Officials and Planned Corrective Actions

This entry is related to an audit adjustment in the audit year ending June 30, 2023, in which there were disallowed marketing costs charged to our Building Fund. This was not a formal interfund borrowing transaction as the fund was positive in cash.

The District recognizes in accordance with *California Education Code* Section 42603, it must be repaid within 120 calendar days. The District will strengthen internal controls over cash management and interfund borrowing practices. Management will implement a formal monitoring process to track all outstanding interfund borrowings, including the date borrowed, amount, and statutory repayment deadline. A periodic review (at least monthly) will be performed by the Business Office to ensure borrowings are repaid within the 120-day statutory period and within the same fiscal year, as required.

Business and Fiscal Services Management will be responsible for overseeing the establishment and maintenance of internal controls and compliance with regulatory requirements.

FINDING #2025-002: INTERNAL CONTROLS OVER FINANCIAL REPORTING (30000)

Criteria

Management is responsible for the design, implementation, and maintenance of internal controls to ensure that the financial statements are free from material misstatement, whether due to error or fraud. Such internal controls should include a review of all adjusting journal entries, reclassifying journal entries, and conversion entries used in the preparation of the District's financial statements. Additionally, the District should ensure that all applicable accounting principles are adhered to when preparing the financial statements.

Condition

During the audit of the financial statements for the fiscal year ended June 30, 2025, prior year audit adjustment was booked backwards which resulted in which resulted in the misstated classification and balances of certain accounts in the current year trial balance. Although the error was subsequently identified.

Questioned Costs

Not applicable

Effect

Without adequate review controls, there is an increased risk that material misstatements could occur in the District's financial statements and remain undetected. Errors of this nature could impact the accuracy of year-end reporting, potentially affecting management decisions and the confidence of stakeholders who rely on the financial statements.

Cause

The cause of the condition identified appears to be due to inadequate review processes related to the District's financial information and verifying the prior year audit adjustments were correctly reflective in the general ledger.

Repeat Finding

Yes

**LYNWOOD UNIFIED SCHOOL DISTRICT
FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2025**

FINDING #2025-002: INTERNAL CONTROLS OVER FINANCIAL REPORTING (30000), continued

Recommendation

It is recommended for the District to establish a regular reconciliation and review process to detect and correct misstatements prior to the audit; develop and implement procedures to ensure all significant adjustments are recorded during the financial reporting process, with appropriate review by qualified personnel; enhance training for staff involved in financial reporting.

Views of Responsible Officials and Planned Corrective Actions

To prevent similar issues in the future, the District will strengthen its financial reporting and review procedures related to audit adjustments and year-end entries. Specifically, all prior year audit adjustments and significant journal entries will be clearly documented, including the purpose, correct direction of entry, and supporting schedules. A secondary review will be performed by a supervisory-level staff member prior to posting such entries to ensure accuracy in classification and amounts. The Assistant Director of Fiscal Services will be responsible for entering the journal entries, and the Director of Fiscal Services will post. All adjustments are subject to the Los Angeles County Office of Education's (LACOE) approval; the District has communicated with LACOE regarding their internal controls and review process for audit adjustments.

Business and Fiscal Services Management will be responsible for overseeing the establishment and maintenance of internal controls and compliance.

LYNWOOD UNIFIED SCHOOL DISTRICT
FEDERAL AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025

This section presents significant deficiencies, material weaknesses, and instances of noncompliance identified during the audit of the financial statements. These matters are reported in accordance with the Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), as applicable. Pursuant to Assembly Bill (AB) 3627, all audit findings must be identified as one or more of the following categories:

<u>FIVE DIGIT CODE</u>	<u>AB3627 FINDING TYPES</u>
50000	Federal Compliance

There were no federal award findings and questioned costs for the year ended June 30, 2025.

LYNWOOD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025

This section identifies significant deficiencies, material weaknesses, and instances of noncompliance related to the financial statements that are required to be reported in accordance with GAAS, *Government Auditing Standards*, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Pursuant to Assembly Bill (AB) 3627, all audit findings must be identified as one or more of the following categories:

FIVE DIGIT CODE	AB3627 FINDING TYPES
10000	Attendance
40000	State Compliance
42000	Charter School Facilities Program
43000	Apprenticeship: Related and Supplemental Instruction
60000	Miscellaneous
61000	Classroom Teacher Salaries
62000	Local Control Accountability Plan
70000	Instructional Materials
71000	Teacher Misassignments
72000	School Accountability Report Card

FINDING #2025-003: ATTENDANCE ACCOUNTING (10000)

Criteria

California Education Code Section 46000 requires that attendance in all schools and classes be recorded and maintained according to regulations prescribed by the State Board of Education. While, *California Education Code* Section 44809 outlines the responsibilities of certificated employees regarding attendance records. It mandates that teachers maintain accurate attendance records in the state school register or an approved central file.

Condition

During the audit of attendance at Cesar Chavez Middle and Lynwood High school sites, it was noted that teachers' attendance rosters were found without signatures for the periods that were reviewed and selected. The absence of these signatures indicates a lack of confirmation by the teacher that the reported attendance is accurate, which is in violation of *California Education Code* requirements noted above.

Questioned Costs

Grade	4-6	7-8	9-12	Total
Questioned Days	258	479	968	1,705
P-2 Divisor	131	131	131	131
Questioned ADA	1.97	3.66	7.39	13.02
Derived Value ADA	\$ 14,812.01	\$ 15,250.10	\$ 18,134.78	
Questioned Costs	\$ 29,180	\$ 55,815	\$ 134,016	\$ 219,011

**LYNWOOD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025**

FINDING #2025-003: ATTENDANCE ACCOUNTING (10000), continued

Effect

Failure to adhere to the requirements of the *California Education Code* can result in inaccurate attendance records, which could have financial, administrative, and compliance repercussions for the district. Additionally, this could undermine the integrity of the district's record-keeping practices and create potential issues during state audits or funding claims.

Cause

The lack of signed attendance rosters appears to result from insufficient training, oversight, or unclear procedures regarding attendance record keeping.

Repeat Finding

No

Recommendation

It is recommended that the district take immediate action to ensure all teachers are trained in the importance of signing the attendance rosters. A system should be implemented to monitor compliance, and periodic reviews should be conducted to ensure all teachers are adhering to the *California Education Code*. Lastly, the district should consider obtaining approval from California Department of Education to use "Digital Signature" capabilities to account for teachers' attendance records.

Views of Responsible Officials and Planned Corrective Actions

The District will implement a process to ensure accurate, timely completion of weekly attendance rosters by all teachers, supporting compliance with district/state requirements and promoting accountability. Each school site administrator will review attendance rosters to ensure they have the required signatures on a bi-weekly basis. Site administrators will have scheduled meetings with teachers not complying with attendance roster signature requirements during the remainder of the 2025-26 school year. The meeting will take place in the subsequent week after the bi-weekly report is given to the site administrator.

The District will seek approval from the California Department of Education to implement "Digital Signatures" for the 2026-27 school year.

Student Services, Human Resources, and Fiscal Services Management will be responsible for the oversight and maintenance of internal controls and compliance.

LYNWOOD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025

FINDING #2025-004: CLASSROOM TEACHER SALARIES (61000)

Criteria

California Education Code Section 41372 requires a minimum percentage of expenditures be charged for classroom teacher salaries. For elementary school districts, this percentage is 55%. *Education Code* Section 41374 provides the District an exemption to this requirement if individual class sessions are maintained below 28 pupils.

Condition

During the audit of the Classroom Teacher Salaries, it was noted the District did not meet the minimum "Percentage of Current Cost of Education Expended for Classroom Compensation" and was not exempt under the provisions of *Education Code* Section 41374.

Questioned Costs

Current expense of education	\$ 201,820,236
Total classroom salaries and benefits	\$ 103,533,538
Percentage spent by the District	51.30%
Minimum percentage required	55.00%
Deficiency amount	\$ 7,467,349

Effect

The noncompliance resulted in the District being deficient by \$7,467,349, or 3.70% of the current expense of education as calculated by the Form CEA.

Cause

Classroom teacher salaries, as a percentage of the applicable total spending, were less than the State requirement.

Repeat Finding

No

Recommendation

The District can establish specific procedures to ensure that the minimum percentage requirement is met or maintain class sizes at or below 28 students in order to qualify for the exemption provisions outlined in *Education Code* Section 41374. However, if the District is unable to keep class sizes below 28 and applying this *Education code* during a fiscal year would cause significant financial or operational hardship, the Governing Board may formally request an exemption. This request should be submitted in writing to the County Superintendent of Schools.

To ensure compliance and avoid potential issues, it is recommended that the District proactively collaborate with the Los Angeles County Office of Education to secure an exemption ahead of time, allowing for a smoother process if class size targets cannot be maintained. Proactively seeking exemption would enable the District to manage its resources effectively without facing penalties or disruptions during the school year.

**LYNWOOD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025**

FINDING #2025-004: CLASSROOM TEACHER SALARIES (61000), continued

Views of Responsible Officials and Planned Corrective Actions

The District will establish and implement formal procedures to monitor class sizes and ensure compliance with the minimum percentage requirements necessary to qualify for the exemption provisions.

The District will strengthen fiscal monitoring and budget controls to ensure compliance with the CEA requirement outlined in *Education Code* Section 41011. Specifically, the District will implement periodic reviews of General Fund (01) expenditures and classroom compensation throughout the fiscal year to monitor the calculated percentage of total classroom compensation relative to total General Fund expenditures. Budget assumptions and staffing allocations will be adjusted as needed during the year to ensure minimum expenditure thresholds for classroom teachers and classroom classified staff are met.

Human Resources, Business and Fiscal Services Management will be responsible for overseeing the establishment and maintenance of internal controls and compliance.

**LYNWOOD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2025**

This section presents findings and questioned costs identified in prior year audit related to financial statements, federal awards and state awards.

FINDING #2024-001: INTERNAL CONTROL OVER FINANCIAL REPORTING (30000)

Criteria

Management is responsible for the design, implementation, and maintenance of internal controls to ensure that the financial statements are free from material misstatement, whether due to error or fraud. Such internal controls should include a review of all adjusting journal entries, reclassifying journal entries, and conversion entries used in the preparation of the District's financial statements. Additionally, the District should ensure that all applicable accounting principles are adhered to when preparing the financial statements.

Condition

During the audit of the financial statements for the fiscal year ended June 30, 2024, several material audit adjustments were identified and recorded to ensure the financial statements were presented in accordance with generally accepted accounting principles (GAAP). These adjustments included:

- \$13.96 million fair market value adjustment in the General Fund.
- \$450,357 accounts receivable/revenue accrual adjustment in the Cafeteria Special Revenue Fund.
- \$2.52 million adjustment to account for liabilities in the Building Fund.
- Other significant adjustments related to claims liabilities, lease receivables, and related deferred inflows of resources across funds.

Questioned Costs

There were no questioned costs associated with the condition identified.

Effect

The lack of effective internal controls over financial reporting resulted in material misstatements in the draft financial statements, requiring auditor-initiated adjustments. This situation reflects a material weakness in internal control and increases the risk of financial reporting errors in the future.

Cause

The cause of the condition identified appears to be due to inadequate review processes related to the District's financial information.

Repeat Finding

Yes

Recommendation

It is recommended for the District to establish a regular reconciliation and review process to detect and correct misstatements prior to the audit; develop and implement procedures to ensure all significant adjustments are recorded during the financial reporting process, with appropriate review by qualified personnel; enhance training for staff involved in financial reporting to improve understanding of GAAP requirements, particularly related to accruals and fair value adjustments; and establish a regular reconciliation and review process to detect and correct misstatements prior to the audit.

**LYNWOOD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2025**

FINDING #2024-001: INTERNAL CONTROL OVER FINANCIAL REPORTING (30000), continued

Corrective Action Plan and Views of Responsible Officials

Develop and implement comprehensive internal controls, policies, and procedures incorporating methodologies for a reconciliation process on a quarterly basis. Allocating sufficient resources and expertise to the audit engagement, ensuring adequate scrutiny of financial records, transactions, and disclosure.

District Business Services Management will be responsible for overseeing the establishment and maintenance of internal controls and compliance with regulatory requirements.

Current Status

See Finding #2025-002.